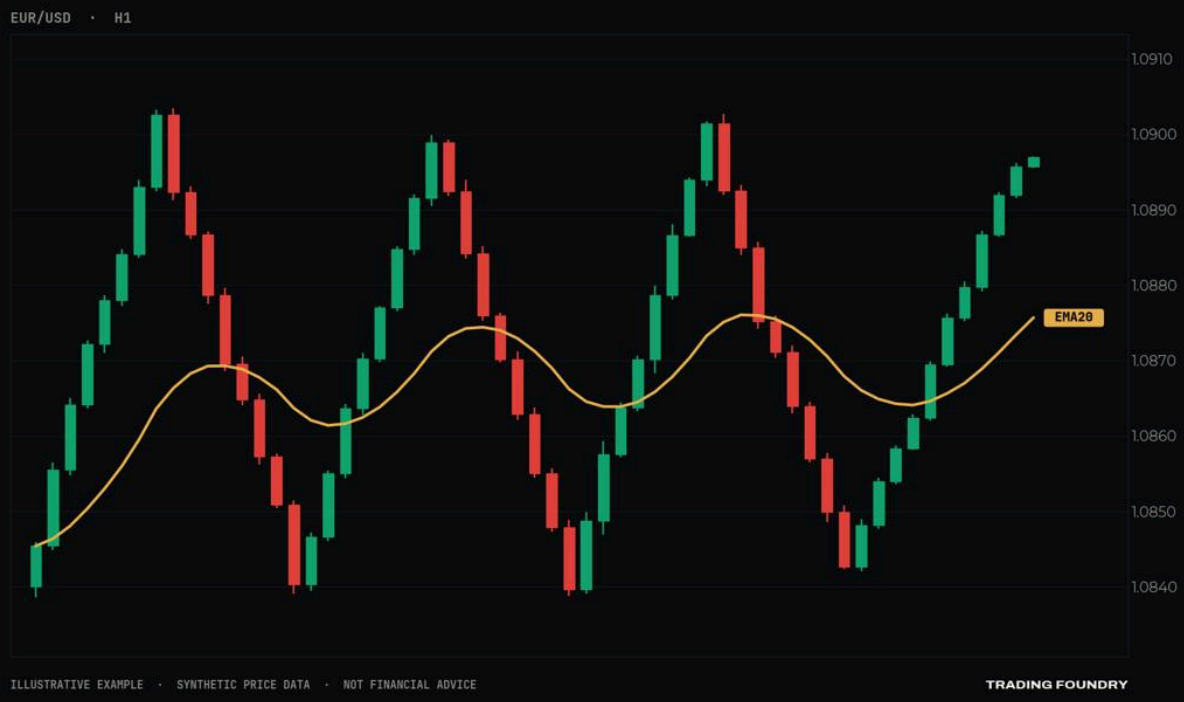
TRADING FOUNDRY

COURSE PLAYBOOK · BEGINNER TO INTERMEDIATE · 10 LESSONS

Support & Resistance: Draw Zones, Not *Lines.*

Find the levels that matter, draw them honestly, and trade the reaction — with a stop where you are wrong and a target where the next crowd waits.



EDUCATION ONLY — NOT FINANCIAL ADVICE. CHARTS ARE ILLUSTRATIVE, SYNTHETIC PRICE DATA.

Contents.

MODULE 1 — WHY LEVELS WORK

1. Why Levels Exist — The Market's Order Memory · 15 MIN
2. Zones, Not Lines — Drawing Levels Honestly · 16 MIN

MODULE 2 — MAPPING THE CHART

3. Finding Zones From Swing Points, Top Down · 16 MIN
4. Ranking Zones — Which Levels Deserve Your Attention · 17 MIN

MODULE 3 — HOW PRICE BEHAVES AT ZONES

5. Role Reversal — When Floors Become Ceilings · 15 MIN
6. Zone Breaks and the Retest Trade · 17 MIN
7. False Breaks and Stop Runs · 16 MIN

MODULE 4 — TRADING THE ZONE

8. Trading Rejections — Candle Triggers at the Zone · 17 MIN
9. Stops Beyond Zones, Targets to the Next Zone · 16 MIN
10. Capstone — The Complete Zone-Trading Playbook · 22 MIN

What you will be able to do

- Explain why price reacts at old levels, and use that to judge which areas are likely to matter again
- Draw any support or resistance level as a wick-to-body zone and read it by closes, not touches
- Build a clean top-down map of three to seven zones from daily swing points, refined on the 4-hour
- Score every zone out of 8 on departure, freshness, timeframe and confluence before price arrives
- Recognise decisive breaks, role reversals, failed flips and false breaks as they form
- Enter on three defined triggers — pin bar, engulfing candle and strong reclaim — only at scored zones
- Place stops beyond the zone and trigger, target the next zone, size from the stop, and reject trades under 1.5R
- Run the full weekly playbook and journal every trade on process, not outcome

This playbook is educational content only. It is not financial advice and nothing in it is a recommendation to buy or sell any instrument. Every chart is an illustrative training example built from synthetic price data — not a record of real market history or results. Trading foreign exchange on margin carries a high level of risk.

Why Levels Exist — The Market's Order Memory.

MODULE 1 — WHY LEVELS WORK · LESSON 1

Explain in plain English why price keeps reacting at the same areas, and use that explanation to judge which areas are likely to matter again.

Open any chart, on any pair, on any timeframe, and you will see it within a minute. Price falls to an area, turns, wanders away, comes back weeks later — and turns again from almost exactly the same place. It looks like the chart has a memory. It looks, frankly, a bit like magic.

It isn't magic, and the reason matters. If you only know *that* levels work, you will draw them everywhere and trust them equally. If you know *why* they work, you can tell the difference between an area where real orders are likely still waiting and an area that simply has a line on it because you put one there.

This course teaches a complete, practical method for support and resistance: how to find the areas that matter, draw them honestly as zones, rank them, read what price does when it arrives, and plan trades with a stop, a target and a reason. This first lesson is the foundation under all of it — the mechanics of why a price level can matter at all.

A chart is a record of decisions

Every candle on your chart is the footprint of an auction. Buyers and sellers meet, trade happens, and the price moves to wherever the two sides can agree. Most of the time that agreement drifts around without much drama. But at certain prices, something different happens: the market turns sharply, as if it hit something.

What it hit was a concentration of orders. Somewhere around that price, enough buyers (at a low) or sellers (at a high) were waiting that the side pushing price could not get through. The push ran out of fuel, the other side took over, and price reversed.

Here is the important part. **Those orders do not all disappear when price leaves.** Some were filled. Some were cancelled. But many participants were left with unfinished business at that price, and the market keeps a kind of memory of it.



Three separate visits, weeks apart, and each one turns within the same 20-pip band. Nothing on this chart is predicting anything — it is a record of where buyers repeatedly showed up in size.

Three groups with unfinished business

Think about who is left with an opinion after price turns sharply from a low. There are three groups, and each one gives the area a reason to matter again.

1. The buyers who got filled and want more. Someone bought heavily near the low and was rewarded. If price returns to the same area, the same logic that made them buy still applies — and now they have proof it worked. Many will buy again.

2. The buyers who missed it. Some traders saw the turn and hesitated. They watched price rally without them. If price comes back to the area, they get the second chance they have been hoping for, and they take it. This is the regret effect, and it is one of the most reliable forces on a chart.

3. The sellers who were caught. Traders who sold into the low watched the market turn against them. Many are still holding, hoping. If price comes back to where they sold, they finally get the chance to close at breakeven — and closing a short means *buying*. Their relief adds to the demand.

All three groups do the same thing when price returns: they buy. That is support. Flip every word and you have resistance: sellers who were rewarded, sellers who missed it, and trapped buyers looking for an exit, all selling when price comes back up to the area.



Turn the logic upside down and you get resistance. The first rejection creates the memory. Later rallies meet sellers who were rewarded last time, sellers who missed the first turn, and buyers trapped near the top who want out at breakeven.

KEY POINT

A level matters because people are left with unfinished business there — orders to repeat, chances they missed, and losing positions they want to escape.

When price leaves in a hurry

The strongest memories are made when price leaves an area quickly. Think about why. If price drifted slowly through a level, everyone who wanted to trade there had time to do so. The business was finished. But if price exploded away from an area in a few large candles, a great many orders were never filled. Buyers who planned to buy there did not get the chance. The market left without them.

That makes the *speed of departure* one of the best clues you have about whether an area will matter again.



Price sat quietly in a small base, then left it in a handful of large candles. Many buy orders were never filled. When price came back for the first time, those orders were still waiting, and the market turned.

Compare that with an area price wandered through slowly, back and forth, for days. There is nothing unfinished there. Everyone who wanted to trade at that price had plenty of opportunity. When price returns to such an area, there is no particular reason for anything to happen — and usually nothing does.

Stop orders: the other half of the story

There is a second group of orders around every level, and beginners rarely think about them. When traders buy at support, most place their stop-loss a little below it. When traders sell at resistance, they place stops a little above it. So just beyond every obvious level sits a cluster of stop orders.

A stop order is a market order waiting to be triggered. A sell stop below support, once hit, sells at whatever price is available. That has two consequences you will study in detail later in the course:

- **Price is often drawn slightly through obvious levels.** The stops beyond them are a pool of guaranteed orders, and larger traders who need to buy in size can use that burst of forced selling to fill their own orders. Price dips through the level, triggers the stops, then snaps back. This is the false break, and Lesson 7 is devoted to it.
- **When a level genuinely fails, the move accelerates.** If there is no real buyer left behind support, the triggered stops feed on themselves and price falls quickly. Same trigger, opposite result. The difference is whether real interest was still waiting.

This is why we will never treat a level as a wall. A level is a neighbourhood where orders cluster, with fuel stored just outside it.

Every visit spends some of the memory

You will often hear that "the more times a level is tested, the stronger it becomes." Be careful with that. Every time price visits a support area, some of the waiting buy orders get filled. The ones that remain are fewer. Unless fresh buyers keep arriving, each visit leaves the area a little emptier than the last.

You can usually see this happening. The bounces get smaller. Price returns sooner. The reactions look tired.



Each bounce from the same zone is smaller than the last and arrives sooner. The orders defending the area are being used up. By the fourth visit there is little left, and the zone gives way.

That does not mean a level touched three times is useless. It means the *character* of the visits matters more than the count. A strong, sharp reaction on a fresh area is a very different thing from a fourth weary bounce. Lesson 4 turns this into a ranking system.

COMMON MISTAKE

Treating a level as stronger simply because it has been touched many times. Repeated, weakening tests are often a sign the level is about to fail, not a reason to trust it more.

What this means for the rest of the course

Put these ideas together and you already have the logic of the whole method:

- **Look for areas price left quickly.** That is where unfinished business lives.
- **Draw them as areas, not exact prices.** Orders are spread across a range, and stops sit just beyond. Lesson 2 shows you exactly how.

- **Prefer fresh areas over tired ones.** Each visit spends some of the memory.
- **Expect price to probe slightly beyond obvious levels.** Stops are stored there, and they get used.
- **Never trade a level on faith.** A level tells you *where* to pay attention. What price does when it gets there tells you *whether* to act.

That last point is the one that separates level traders who survive from those who don't. A support zone is a location, not a signal. Price arriving at support is not a reason to buy. Price arriving at support *and then showing you that buyers are actually there* — that is the beginning of a reason. The final module of this course is about exactly that evidence.

Going deeper

Experienced traders sometimes object that the "memory" explanation is too tidy. Orders get cancelled; the traders who bought at a low three months ago may have long since closed their positions; the order book you cannot see on a spot forex chart may look nothing like you imagine. All true. So why does the effect persist?

Partly because it is **self-reinforcing**. A level that is obvious on a daily chart is visible to everyone who looks at that chart. Enough participants expect a reaction there that they act on that expectation — placing buy orders, tightening stops, taking profit on shorts. The expectation produces the reaction. This is why visibility matters so much. A level that only you can see, found by zooming in and squinting, has no crowd behind it. A level that jumps off the chart has thousands.

It is also why **higher timeframes carry more weight**. A turn on a daily chart represents far more volume and far more participants than a turn on a five-minute chart. More participants means more unfinished business and more people watching. When a five-minute level and a daily level disagree, the daily level usually wins.

Two further caveats keep the idea honest:

Levels decay. A swing low from three years ago, in a completely different interest-rate regime, has fewer participants with any stake in it. Recent levels — and old levels that have recently been respected — usually matter more.

News overrides memory. A major data release or central-bank surprise can move price straight through any level without the usual reaction, because the new information changes what everyone thinks the currency is worth. Levels describe the market's memory of the past; they cannot protect you from new information. Many level traders simply stand aside around high-impact releases.

Finally, keep in mind what this course is and is not claiming. Support and resistance improves the *location* of your decisions: it tells you where the odds of a reaction are better than average and where your risk can be clearly defined. It does not tell you what will happen. Every example in this course comes with a stop for that reason. All charts here are illustrative training charts, built to show the concept clearly — real markets are messier, and you should expect that.

THE RULES

- A level is a location, not a signal. Never act on price arriving at a level without evidence of a reaction.
- Always treat levels as areas with stops clustered just beyond them.
- Judge a level by the quality of past reactions and how quickly price left it, not by how many times it was touched.
- Stand aside from level-based entries around high-impact news unless you have a separate, tested plan for it.

Summary

- Levels exist because traders are left with unfinished business there: orders to repeat, missed chances to take, and losing positions to escape.
- Areas that price left quickly hold the most unfilled orders and are most likely to matter again.
- Stop orders cluster just beyond obvious levels, which explains both false breaks and fast genuine breaks.
- Every visit spends some of the orders at a level; weakening bounces are a warning, not a strength.
- A level tells you where to look. Price behaviour at the level tells you whether to act.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Why does price often react when it returns to an area where it previously turned sharply?
   A. Because chart patterns repeat on a fixed cycle
   B. Because traders are left with unfinished business there — unfilled orders, missed entries and trapped positions
   C. Because brokers move price back to old levels
   D. Because indicators are calibrated to old highs and lows
2. Trapped sellers who shorted right at a low that then rallied — what do they tend to do if price returns to their entry?
   A. Sell more, adding to their position
   B. Nothing — their stops were hit long ago
   C. Close their short at breakeven, which means buying
   D. Switch to a different currency pair
3. Which area is most likely to hold a large amount of unfilled orders?
   A. An area price drifted through slowly for several days
   B. An area price left in a few large, fast candles
   C. Any area that is a round number
   D. The midpoint of yesterday's range
4. In the 'every test spends some of the orders' chart, what was the warning sign before the zone broke?
   A. The bounces were getting larger
   B. The bounces were getting smaller and arriving sooner
   C. Price touched the zone exactly four times
   D. The zone was too wide
5. Where do stop-loss orders tend to cluster around an obvious support level?
   A. Just above it
   B. Exactly on it
   C. Just below it
   D. At the next resistance level
6. Price has just arrived at a strong daily support zone. According to this lesson, what should you do?
   A. Buy immediately — strong support is a buy signal
   B. Sell — it is about to break

C. Watch for evidence that buyers are actually present before considering a trade

D. Move the zone lower so it has more room

Zones, Not Lines — Drawing Levels Honestly.

MODULE 1 — WHY LEVELS WORK · LESSON 2

Build a support or resistance zone from wick to body at any swing point, size it sensibly, and stop mistaking normal wicks for broken levels.

Most traders learn support and resistance by drawing a single horizontal line. It looks precise. It feels professional. And it quietly causes more bad decisions than almost anything else on a chart.

A thin line makes two promises no market can keep. It promises that the level sits at an exact price, to the pip. And it promises that a touch of that price means something, while a miss of three pips means nothing. Real markets do not work like that. As you saw in Lesson 1, a level is a cluster of orders spread across a range of prices, with stops sitting just beyond it. A cloud, not a laser.

This lesson replaces the line with a **zone**: a shaded band that says, honestly, "the interest lives somewhere in here." You will learn a repeatable way to build one from any swing point, how wide it should be, and how to read price once it is inside.

The line trader's problem

Here is a support level drawn the way most people draw it — a single line through the lows.



Every test pokes a wick 10–15 pips through the line, then closes back above it. The line trader is stopped out, or frozen by doubt, three times — on a level that held perfectly well every time.

Three times price dipped through the line. Three times it closed back above and rallied. If you placed a stop a few pips under that line, you were taken out on every single test of a level that worked. If you treat a wick through the line as a break, you sold at the low three times.

The level did not fail. The *drawing* did. It was too precise for the thing it was trying to describe.

The same level, drawn as a zone

Now draw the same area as a band that runs from the bodies of the candles down to the bottom of the wicks.



Drawn from the lowest wick up to the lowest candle bodies, the zone contains every probe. Wicks inside the zone are the level doing its job: price explored lower, found buyers, and was rejected.

Nothing about the price action changed. What changed is the question you ask. Instead of "did price touch the line?", you ask "did price **close** beyond the zone?" Inside the zone, wicks are expected; they are the visible sign of the level being defended. A candle that *closes* clearly beyond the far edge is a very different event, and Lesson 6 deals with it.

KEY POINT

Inside a zone, wicks are normal. What matters is where candles close.

Building a zone: the wick-to-body method

You need a repeatable way to draw zones, or they will expand and shrink to suit whatever you want to believe that day. Here is the method used throughout this course, described for support (turn it upside down for

resistance).

1. **Find the turn.** Go to the swing low — the candle, or small cluster of two or three candles, where the decline actually stopped and reversed.
2. **Mark the wick extreme.** The lowest wick in that cluster is the far edge of the zone. It is the deepest point the market probed before buyers rejected it.
3. **Mark the body edge.** Find the lowest candle *body* in the cluster — the lowest open or close. That is the near edge. It marks where the market refused to *settle* any lower.
4. **Shade between them.** Wick extreme to body edge: that is your zone.

The logic is simple. Bodies show where the market accepted price; wicks show how far it probed before being rejected. The genuine interest lives between those two facts.



The hammer at the low probed to the wick extreme; the lowest body in the turn sat 20 pips higher. Shade between the two and you have a zone built from evidence, not from a guess.

How wide is right?

Width is information, so do not shrink a zone just to make it look neater. A wide zone tells you the area was volatile and contested; you will need more room in your planning there. A tight zone tells you the turn was orderly and precise.

As rough guidance for major pairs:

- **Daily zones:** commonly 20–60 pips tall.
- **4-hour zones:** commonly 10–30 pips.
- **1-hour zones:** commonly 6–20 pips.

A four-pip "daily zone" is a line with extra steps. A 150-pip "zone" is a region, and you cannot plan a trade around it. If your zone falls outside these ranges, look again — not because the numbers are rules, but because it usually means you have picked the wrong anchor candles.

When one wick is enormous

Sometimes the turn includes a single panic wick that stabs far beyond the others — a news spike, a thin market. Drawing the zone all the way to that wick produces something absurdly tall. In that case, draw the zone around where price actually turned and spent time, and **mark the panic extreme separately** as a reference line. You will use it later for stop placement, because a stop that sits inside a level's own panic range is a stop waiting to be hit.



One spike stabbed 50 pips below everything else. The working zone is drawn where the other candles turned; the spike low is kept as a reference line, because any stop for a long here belongs below it, not inside it.

COMMON MISTAKE

Drawing a zone exactly as wide as your stop-loss would like it to be. Draw the zone from the candles, then decide whether the trade is affordable. If it isn't, the answer is a smaller position or no trade, not a thinner zone.

Reading price inside the zone

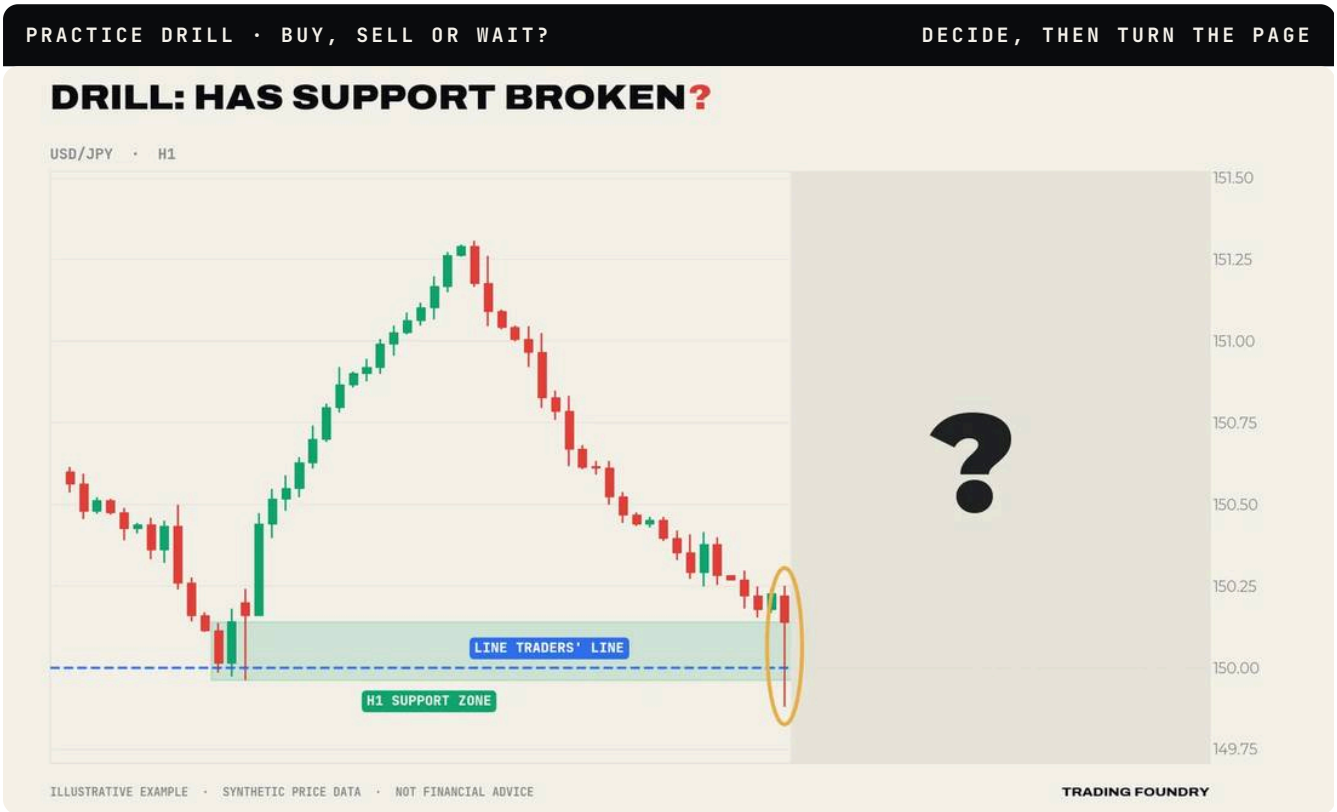
Once you think in zones, three outcomes replace the line trader's single yes-or-no question:

- **Rejection.** Price enters the zone, wicks into it, and closes back out on the side it came from. The level is being defended. This is the raw material for the rejection trades in Module 4.

- **Acceptance.** Price closes *inside* the zone and keeps closing there. The battle is ongoing; nobody has won. You wait.
- **Break.** Price closes clearly *beyond* the far edge — ideally with a strong candle and follow-through. The level has given way, and its role may now reverse (Lesson 5).

Notice that none of these is decided by a touch. They are decided by closes, and by what the candles look like.

Practice drill



Price has just wicked through the line that most traders drew. Using zone logic — closes, not touches — is support broken? Decide before you reveal.

THE REVEAL



THE ANSWER

No break. The ringed candle wicked below the zone and below the line traders' line, but closed back inside the zone. That is a rejection, not a break: sellers probed lower and were absorbed. A line trader saw a 'broken' level; a zone trader saw a level being defended. A long trade still needs a trigger and a stop below the wick, which Module 4 covers.

A worked example, in numbers

Here is the method applied from start to finish (prices are for teaching only). EUR/USD on the 4-hour chart falls into a low and turns. The turn is made of three candles. The first is a red candle that opens at 1.0838 and closes at 1.0821, with a low of 1.0815. The second is a small candle that opens at 1.0821, wicks down to 1.0803 and closes at 1.0819. The third is a strong green candle that opens at 1.0819 and closes at 1.0846.

The wick extreme is the lowest low in the cluster: **1.0803**. The body edge is the lowest open or close among the three candles: **1.0819**. So the zone runs from 1.0803 to 1.0819 — 16 pips, comfortably within the normal range for a 4-hour zone.

Now suppose price returns two weeks later. A candle wicks to 1.0798 and closes at 1.0812. A line trader with a line at 1.0803 calls that a break. A zone trader notes a five-pip probe below the zone and a close back inside it, and starts watching for buyers. Same candle, very different decision — and only one of them is consistent with how the level was built.

Going deeper

Why body edge and not the close? The near edge uses the lowest *body*, which may be an open rather than a close. In a turn, the bullish candle that starts the rally often opens at the very spot the market stopped accepting lower prices. Using bodies, not just closes, captures that.

Clusters, not single candles. Swing points are often messy: two or three candles jostle at the low before price leaves. Use the whole cluster. The zone covers the extreme of any wick and the lowest body among the candles that formed the turn — not the candles of the decline into it, and not the rally out of it.

Zones from multiple touches. When a level has been tested several times, each test leaves its own wick-to-body band. Overlay them. The area where they overlap is the core of the zone; outlying wicks can be noted but need not stretch it. If the bands do not overlap at all, you may be looking at two separate levels, or at no level.

Spread and broker differences. Different brokers' charts show slightly different wicks, especially on lower timeframes and around the daily rollover. That is another reason zones beat lines: a three-pip difference in a wick should not change whether your level exists. If a level only "works" on one broker's feed, it isn't a level.

Zones and the volatility of the day. Average true range changes over time. A 30-pip daily zone drawn during a quiet summer may look thin when the pair is moving 150 pips a day. You do not need to redraw it, but your stops beyond it need to account for current volatility, which Lesson 9 covers.

THE RULES

- Draw every level as a zone, from the extreme wick to the nearest body edge of the candles that formed the turn.
- Judge a level by closes, not touches. A wick into or through a zone is not a break.
- Never shrink a zone to make a stop fit. Size the position to the zone, or skip the trade.
- Mark any panic-spike extreme separately; it matters for stop placement.

Summary

- A single line promises a precision the market does not have, and leads to being stopped out or frozen by normal wicks.
- Build zones from wick extreme to body edge at the candles that formed the turn.
- Width tells you how contested the area is; on major pairs, daily zones are commonly 20–60 pips.
- Trim a lone panic wick from the working zone but keep its extreme as a stop reference.
- Inside a zone, read closes: rejection, acceptance or break.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Using the wick-to-body method on a swing low, where are the two edges of the zone?

   A. The highest wick and the lowest wick

   B. The lowest wick of the turn and the lowest candle body of the turn

   C. The open of the first candle and the close of the last

   D. The lowest close and a fixed 10 pips below it

2. Price wicks 12 pips below a support zone, then closes back inside it. What has happened?

   A. The zone has broken; look for shorts

   B. A rejection: price probed lower and was absorbed

   C. Nothing — wicks are always meaningless

   D. The zone needs redrawing 12 pips lower

3. Your wick-to-body daily zone on EUR/USD is 55 pips tall, which makes your planned stop larger than you would like. What is the right response?

   A. Redraw the zone at 20 pips so the stop fits

   B. Use a smaller position size, or skip the trade if the plan does not work

   C. Remove the stop altogether

   D. Switch to a 1-minute chart and draw a tighter zone

4. A swing low contains one 50-pip news spike far below the other candles. How should it be handled?

   A. Ignore the spike entirely

   B. Extend the zone all the way down to the spike

   C. Draw the working zone where the other candles turned, and mark the spike low as a reference for stops

   D. Delete the level — spikes make levels unreliable

5. In the drill chart, why did a line trader and a zone trader read the ringed candle differently?

   A. They were looking at different timeframes

   B. The line trader judged by touch; the zone trader judged by where the candle closed

   C. The zone trader used an indicator

   D. The line was drawn at a round number

Finding Zones From Swing Points, Top Down.

MODULE 2 — MAPPING THE CHART · LESSON 3

Map the handful of zones that matter on a pair by working from the daily chart down to the 4-hour, using only clear swing points.

You now know why levels exist and how to draw one honestly. The next question is the one that decides whether your charts help you or bury you: **which levels do you draw?**

Ask ten new traders to mark support and resistance on the same chart and you will get ten very different pictures. Most will be cluttered — a line at every wiggle, a zone at every pause, until the chart looks like a barcode. A cluttered chart feels thorough. In practice it is useless, because when every price is "at a level", none of them is.

This lesson gives you a routine. You will start on the daily chart, mark only swing points that anyone could see, refine them on the 4-hour, and finish with a clean map of three to seven zones that you can explain in one sentence each.

What a swing point is

A **swing high** is a peak with lower prices on both sides — a place where buyers ran out of steam and sellers took over. A **swing low** is the opposite: a trough where selling ran out and buying took over. Every zone in this course is built from one of these turns.

But not every bump on a chart is a swing worth marking. You are looking for turns that are **obvious**: price clearly travelled into the area, turned, and travelled clearly away. Here is the test used in this course:

- **Clear approach.** Price moved into the turn with some purpose — not a sideways shuffle.
- **Clear departure.** Price left the turn by a meaningful distance. As a guide, at least two or three times the height of an average candle on that timeframe, and preferably much more.
- **Visible without zooming.** If you have to zoom in to see it, the rest of the market cannot see it either.



The swing high (SH) and swing low (SL) are turns anyone would spot at a glance: clear approach, clear departure. The ringed bumps are pauses inside moves. They are not where the market changed its mind, so they do not get zones.

KEY POINT

Mark the turns where the market clearly changed direction. Ignore the pauses inside moves.

Why start on the daily chart

Lesson 1 explained that higher timeframes carry more weight: a daily turn represents far more participants, far more volume and far more unfinished business than a 15-minute turn. It is also seen by far more traders, which makes it self-reinforcing.

So the routine runs **top down**. You find the big levels first, because they are the ones most likely to stop price, and then use lower timeframes only to sharpen what you found. Working the other way — starting on the 15-minute chart and building up — produces dozens of minor zones, and you will never know which ones matter.

A practical hierarchy for a swing or day trader:

- **Weekly:** one or two standing extremes — the levels that define the big picture. Glance at them; you rarely trade from them directly.
- **Daily:** your main map. Three to seven zones within reach of current price.
- **4-hour:** refinement. Tighten daily zones and add any 4-hour zone that is clearly important inside a wide-open daily range.
- **1-hour and below:** execution only. You look here for entry triggers, not for new levels.

The routine, step by step

Step 1 — Set the window. On the daily chart, look at roughly the last six to twelve months. For a swing trader, that is the territory price can plausibly revisit. A level two thousand pips away is history, not analysis.

Step 2 — Squint. Lean back from the screen. Which highs and lows jump out? Those are your candidates. Write them down.

Step 3 — Draw wick-to-body zones at each candidate, using the method from Lesson 2.

Step 4 — Merge overlaps. If two candidate zones overlap or sit within a few pips of each other, they are the same level seen twice. Merge them into one zone.

Step 5 — Cull to the essentials. Keep zones within reach of current price — usually within one or two weeks' typical range — and drop any you could not justify in one sentence.



Three zones built from obvious daily turns, plus a middle shelf where price paused and turned repeatedly. Most of the chart is deliberately left empty. When price is in the empty space, a level trader has nothing to do.

Refining on the 4-hour

Daily zones are often wide — 40, 50, 60 pips. That is honest, but it is a lot of room to plan a trade inside. The 4-hour chart helps you see where, inside that daily zone, the turn actually happened.

Switch to the 4-hour and look at the same area. Usually the daily turn shows up as a cluster of 4-hour candles with a clearer low. Draw a 4-hour wick-to-body zone around that cluster. It will sit inside, or overlap, the daily zone.

The daily zone tells you **where** to expect a reaction. The 4-hour refinement helps you plan **how** — where a trigger is most likely to appear and where a stop can go.



The daily zone is 60 pips tall. On the 4-hour, the turn inside it happened in a tight cluster of candles; the refined zone is about 16 pips. You still respect the daily zone, but you plan around the refinement.

Two cautions. First, **never let the refinement replace the daily zone**. If price pushes through your 4-hour zone but is still inside the daily zone, the daily level has not failed. Second, **do not refine below the 1-hour**. Below that, you are no longer finding where the market turned; you are finding noise.

What a cluttered chart looks like

Here is the opposite of a working map.



Eight zones in 120 pips. Wherever price is, it is 'at a level', so every candle can be talked into a trade. A chart like this does not show you where to act; it gives you permission to act everywhere.

The cluttered chart has a deeper problem than looking messy. It removes your ability to say **no**. When there is a level everywhere, you can always find one to justify the trade you already wanted. A clean chart forces patience: most of the time, price is in empty space, and the honest answer is "nothing to do yet".

COMMON MISTAKE

Drawing levels while you are itching to trade. Levels drawn in that mood have a habit of appearing exactly where you need them. Do your mapping at a set time — the weekend works well — and trade the map you drew when you were calm.

Keeping the map alive

A map is a working document. Three habits keep it honest:

Label every zone with its reason. A few words is enough: "D1 swing low, two turns, March." If you cannot write the label, delete the zone.

Update weekly, not hourly. Add new zones when a new obvious swing forms. Do not redraw old ones every time price comes near them.

Archive the dead. When a zone has been decisively broken and its retest (Lessons 5 and 6) has played out, or price has passed through it twice without any reaction, remove it. Old zones that no longer matter make you hesitate in clean territory.

Going deeper

How far back to look. The six-to-twelve-month window is a guide, not a rule. In a strong trend, price may have left old levels far behind; the relevant zones are the recent swing points within the trend. In a long range, levels from a year ago may still be live because price keeps returning to them. The question is always: *could price plausibly reach this area within my holding period?*

Weekly levels and daily zones that disagree. If a weekly extreme sits a little above a daily zone, treat the gap between them as contested territory. Price often stalls at the daily zone, then probes to the weekly level. Mark both; plan for both.

Swings that formed on news. A swing made by a single data-release spike is a weaker anchor than one built over several sessions. The spike may represent a few minutes of thin liquidity, not lasting interest. Keep such levels, but rank them lower (Lesson 4) and look for confirmation from later reactions.

The 'in-between' problem. On many charts there is a daily level, then 150 pips of open space, then another daily level. Traders get impatient in that space and start inventing 1-hour levels to trade. That is fine if you run a separate intraday method with its own rules. It is not fine to bolt minor levels onto a daily plan and treat them as equals. A 1-hour zone in the middle of a daily range is a lower-quality location, and your expectations — and position size — should reflect that.

Different traders, different maps. A scalper's "daily map" is a 1-hour map; a position trader's is weekly. The principle is identical — start one or two timeframes above where you execute, find the obvious turns, refine one step down. What changes is the scale.

THE RULES

- Map top down: weekly glance, daily map, 4-hour refinement, 1-hour and below for execution only.
- Only mark swing points with a clear approach and a clear departure, visible without zooming.
- Keep three to seven zones within reach of current price. Merge overlaps; delete what you cannot justify in one sentence.
- Draw and update the map at a set time, not while looking for a trade.

Summary

- Zones are built only at obvious swing points: clear approach, clear departure, visible at a glance.
- Start on the daily chart, because higher-timeframe turns carry more participants and more weight.
- Refine daily zones on the 4-hour to plan entries and stops, but never let the refinement overrule the daily zone.
- A clean map has three to seven zones and a lot of empty space. Clutter removes your ability to say no.
- Label every zone with its reason, update weekly and archive dead zones.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Which of these is the best candidate for a zone?

   A. A small pause halfway through a strong rally

   B. A low where price fell steadily into the area, turned and rallied 150 pips

   C. A level you found after zooming into the 5-minute chart

   D. The opening price of every Monday

2. Why does this course map levels from the daily chart downwards?

   A. Daily charts have fewer candles to look at

   B. Higher-timeframe turns involve more participants and more unfinished business, so they matter more

   C. Lower timeframes are not accurate

   D. Brokers only show reliable data on the daily chart

3. Price has pushed through your 4-hour refinement zone but is still inside the wider daily zone. What does that tell you?

   A. The daily level has failed

   B. The refinement was wrong, but the daily level has not yet failed

   C. You should immediately reverse your position

   D. You should redraw the daily zone lower

4. In the cluttered-chart example, what is the deepest problem with eight zones in 120 pips?

   A. The chart is hard to read on a phone

   B. It removes your ability to say no — every price is 'at a level' and can justify a trade

   C. It uses too much screen space

   D. Zones should never be closer than 50 pips

5. Two candidate zones on your daily chart overlap by most of their height. What should you do?

   A. Keep both — overlap means double strength

   B. Merge them into a single zone

   C. Delete both

   D. Keep only the higher one

6. When is the best time to draw and update your levels?

   A. Whenever price gets close to a level

   B. Right before entering a trade, to confirm it

   C. At a set routine time, such as the weekend, when you are not looking for a trade

D. Every hour, to keep them accurate

Ranking Zones — Which Levels Deserve Your Attention.

MODULE 2 — MAPPING THE CHART · LESSON 4

Score any zone on reaction strength, freshness, timeframe and confluence, so you know which levels to plan around and which to ignore.

Your map now has a handful of honest zones. They are not equal. Some will stop price in its tracks; others will barely slow it down. If you treat them all the same — same attention, same position size, same confidence — you will spend your best patience on your worst levels.

This lesson gives you a simple scorecard. Four questions, each scored 0, 1 or 2, for a total out of 8. It is not a magic formula and it does not predict anything. What it does is force you to look at each zone for the same reasons, in the same order, *before* price gets there and before you want the trade.

Factor 1: How strongly did price leave?

Lesson 1 explained that areas price left quickly hold the most unfinished business. This is the first and most important thing to judge.

- **2 points:** price left the zone in a sharp move — several large candles, little overlap, a clear distance travelled.
- **1 point:** a reasonable departure, but slower or choppier.
- **0 points:** price drifted away, overlapping and hesitant. There is little evidence of unfilled orders.



Zone A was left in a burst of large candles. Zone B was a slow, overlapping drift. When price came back down, it passed straight through B and turned at A. Departure strength is the single best clue to where unfinished orders remain.

Factor 2: How fresh is it?

Every visit spends some of the orders at a zone. The first return to a zone usually gets the best reaction, because the unfilled orders are all still there.

- **2 points:** fresh — price has not returned to the zone since it formed.
- **1 point:** tested once, with a strong reaction.
- **0 points:** tested two or more times, or the last reactions were getting weaker.

Freshness is the factor most traders get backwards. "Tested many times" sounds strong. Usually it means the zone is running out of defenders. The exception is a zone that keeps producing *strong, fast* reactions on each visit — that suggests new interest arriving. Judge by the quality of the reactions, not the count.

Factor 3: What timeframe made it?

Higher-timeframe zones involve more participants, more volume and more attention.

- **2 points:** a weekly or daily zone.
- **1 point:** a 4-hour zone.
- **0 points:** a 1-hour zone or lower.

When a lower-timeframe zone gets in the way of a higher-timeframe one, the higher one usually wins.



A minor 1-hour zone offered little resistance to the decline. The daily zone below — built from a far bigger turn — is where the move actually stopped. When zones of different timeframes disagree, respect the larger one.

Factor 4: What else lines up there?

Confluence means other independent reasons for orders to sit at the same price. The key word is *independent*. A 4-hour version of your daily zone is not confluence; it is the same zone again. Count only factors that would exist even if your zone didn't:

- **A round number** inside the zone — 1.1000, 1.2500, 150.00. Traders and algorithms cluster orders, take-profits and stops at round prices. Whole figures (1.1000) matter more than half-figures (1.1050).
- **A role-reversal** — the zone was previously the opposite type (old resistance now acting as support). Lesson 5 covers this.
- **Trend structure** — the zone sits where a pullback would form a higher low in an uptrend, or a lower high in a downtrend.
- **A clear weekly extreme** nearby.

Scoring:

- **2 points:** two or more independent factors.
- **1 point:** one factor.
- **0 points:** none.



The pullback returns to the zone that capped two earlier rallies. Inside it sits the 1.1000 whole figure, and a turn here would form a higher low in an uptrend. Three reasons that do not depend on each other — that is genuine confluence.

KEY POINT

Confluence counts only *independent* reasons. The same zone seen on two timeframes is one reason, not two.

Putting the score together

Add the four factors for a total out of 8. Use it to decide how much attention a zone gets:

- **6–8 — Prime zone.** Plan for it in advance. Write down what you will look for and what you will do. These are the levels worth waiting days for.
- **4–5 — Working zone.** Tradeable with a clear trigger. Many of your trades will come from here.
- **0–3 — Background zone.** Keep it on the map as a possible target or obstacle, but do not trade *from* it.

Here is a worked example (illustrative only). A daily support zone on EUR/USD, formed by a sharp 180-pip rally (departure: 2). Price has not returned since (freshness: 2). It is a daily zone (timeframe: 2). The 1.0800 whole figure sits inside it, but there is no other confluence (confluence: 1). Total: **7 out of 8 — prime zone.**

Compare a 4-hour zone (1) that price drifted away from (0), tested twice already (0), with nothing else nearby (0). Total: **1 out of 8 — background only.** It might still turn price. You simply have no good reason to expect it to, and no reason to risk money on it.

COMMON MISTAKE

Scoring a zone *after* you want the trade. If you notice yourself hunting for a round number or a trend line to bump the score up, stop. Confluence gathered to justify a trade you already wanted is advocacy, not analysis.

Practice drill



Price is arriving at this 1-hour support for the fourth time. Score the zone on the four factors. Is it a level to trade from?

THE REVEAL



THE ANSWER

No trade. Score it: departure 1 (the first bounce was decent), freshness 0 (fourth visit, bounces shrinking from 80 to 45 to 25 pips), timeframe 0 (1-hour), confluence 0 (no round number, no flip, and it sits against a downtrend rather than at a higher low). Total 1 out of 8 — a background zone. The shrinking bounces were the warning: defenders were being used up, and the zone broke.

Scores change — keep them current

A score is a snapshot, not a permanent rating. Three things change it, and your weekly mapping session (Lesson 3) is the time to update it:

- **A visit.** When price returns to a zone, freshness drops. If the reaction was strong and fast, drop it by one point. If the reaction was weak, or price chopped around inside the zone, drop it to zero.
- **A break.** A zone that has been decisively broken stops being scored in its original role. It may be re-scored in its new role as a possible flip (Lesson 5), starting from the strength of the break.
- **New confluence.** A fresh weekly extreme forming nearby, or the trend structure shifting so that the zone now sits at a higher low, can add a point. Add it during the weekly review — not while price is approaching.

Here is how that plays out on one zone (illustrative). A 4-hour support scores 6 when first drawn: strong departure (2), fresh (2), 4-hour (1), sitting at a higher low in an uptrend (1). Price returns and bounces sharply: freshness drops to 1, total 5 — still a working zone. Price returns again and the bounce is half the size: freshness drops to 0, total 4 — borderline. A third visit with a feeble bounce would take it to background status before it ever breaks. The scorecard has quietly told you to stop trusting the level while it still looks intact.

Going deeper

Why a scorecard at all? Because your judgement in the moment is biased by whatever you saw last. If your previous trade lost at a zone, you will downgrade the next one; if it won, you will be too generous. A fixed scorecard written down beforehand is a way to make your Tuesday self agree with your Sunday self.

The weights are a starting point, not a law. This scorecard weights the four factors equally. Over months of journaling (the capstone covers this) you may find that, for the pairs and timeframes you trade, departure strength matters far more than confluence, or that freshness is decisive. Adjust the weights from your own records, not from anyone's opinion — including this course's.

Round numbers deserve nuance. Whole figures attract orders, but they also attract *stops*, which is why price often overshoots them by 10–20 pips before reacting. That makes a round number inside a zone a plus for the zone, but a liability for a stop placed right next to it. Lesson 9 returns to this.

Freshness and time. A fresh zone formed yesterday and a fresh zone formed eight months ago are both "untested", but the old one has fewer active participants with a stake in it. As a rough habit, treat a daily zone more than six to nine months old as one point lower on freshness unless something recent — a weekly extreme, a fresh flip — has re-energised it.

Do not double-count. Trend structure and role-reversal often coincide (old resistance becomes the higher-low area in an uptrend). That is fine — they are different reasons — but be honest that they describe related behaviour. If your score depends on counting every possible label for the same event, the zone is weaker than the number says.

Score is not signal. A prime zone tells you where to concentrate your attention and where your risk is best defined. It says nothing about whether price will react this time. The trigger rules in Module 4 still apply to every trade, and every trade still carries a stop.

THE RULES

- Score every zone before price arrives: departure, freshness, timeframe, confluence — 0, 1 or 2 each.
- Trade from prime (6–8) and working (4–5) zones only. Zones scoring 0–3 are targets and obstacles, not entries.
- Count only independent confluence. The same zone on two timeframes is one factor.
- Never raise a score after you have started wanting the trade.

Summary

- Four factors rank a zone: how strongly price left, how fresh it is, what timeframe made it and what independent confluence it has.
- Strong departures and fresh zones hold the most unfinished business. Repeated, weakening tests drain a zone.

- Higher-timeframe zones usually beat lower-timeframe ones when they disagree.
- Score 6–8 for prime zones, 4–5 for working zones, 0–3 for background zones you do not trade from.
- A score tells you where to pay attention, never what price will do.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Which factor does this course treat as the best single clue that unfilled orders remain at a zone?

   A. How many times it has been touched

   B. How strongly and quickly price left it

   C. Whether it is on a 1-hour chart

   D. Whether it is drawn as a line

2. A daily zone was formed by a sharp rally, has never been revisited, and has the 1.2500 whole figure inside it — nothing else. What does it score?

   A. 5

   B. 6

   C. 7

   D. 8

3. Which of these counts as independent confluence for a daily support zone?

   A. The same zone drawn on the 4-hour chart

   B. A whole-figure round number inside the zone

   C. The zone being shaded in a brighter colour

   D. The fact that you want to buy there

4. In the 'higher timeframe usually wins' chart, what happened?

   A. Price turned at the 1-hour zone and never reached the daily zone

   B. Price sliced through the 1-hour zone and turned at the daily zone

   C. Both zones broke

   D. The daily zone flipped to resistance

5. A 4-hour zone scores 3 out of 8. How should you use it?

   A. Trade from it with double size to compensate

   B. Keep it as a possible target or obstacle, but do not trade from it

   C. Delete it immediately

   D. Add a round number to raise the score

6. You notice yourself searching for extra confluence on a zone because you want to take a trade there. What is the problem?

   A. None — more confluence is always better

   B. You are building a case for a decision already made, which inflates the score

C. Confluence should only be checked on weekends

D. Round numbers are not allowed in the score

Role Reversal — When Floors Become Ceilings.

MODULE 3 — HOW PRICE BEHAVES AT ZONES · LESSON 5

Recognise when a broken zone is likely to switch roles, judge the quality of the flip, and spot the flips that fail.

Here is one of the oldest and most useful behaviours on any chart. A support zone holds price up for weeks. Then it breaks. Price falls away — and some time later rallies back up to the old support. And there, where buyers used to defend, price turns *down*.

The floor has become a ceiling. Traders call this **role reversal**, or simply a **flip**. It works in both directions: broken resistance often becomes support, and broken support often becomes resistance.

Role reversal matters for two reasons. It gives you some of the cleanest trade locations available, because the level has already proved itself twice — once in each role. And it explains the "break and retest" pattern that the next lesson turns into a trade.

Why the flip happens

Go back to the three groups from Lesson 1 and watch what happens to them when support breaks.

The buyers who defended the zone. They bought at support. Now support has broken and they are sitting on losses. Many hold and hope. When price rallies back to the zone, they get the chance to close at breakeven — and closing a long means *selling*.

The traders who were waiting to sell. Some saw the break and wanted to sell, but did not want to chase price lower. A rally back to the broken zone is their second chance at a better price.

The traders who were right about the break. Those who sold the break are in profit. If price rallies back to the zone, many add to their position there, because it is the same logic that worked the first time.

All three groups do the same thing at the old support: they sell. The orders that made the zone a floor have been replaced by orders that make it a ceiling.



The same 22-pip zone held price up twice. Once it broke, the first rally back into it met trapped buyers selling at breakeven and fresh sellers taking their second chance. The floor became a ceiling.

KEY POINT

When a zone breaks, the people who defended it become the people who will sell (or buy) it on the way back. That is why the zone often switches roles.

Resistance into support

The mirror image is just as common, and in an uptrend it is often the most useful zone on the chart.



Two rallies were turned back at the same zone. When price finally broke out, it later pulled back to the old ceiling, found buyers there, and continued higher. The retest became a higher low in a new uptrend.

In an uptrend, the old resistance often becomes the place where the next higher low forms. That is a natural point of confluence (Lesson 4): role reversal and trend structure in the same location.

What makes a high-quality flip

Not every broken zone flips. Before you treat a broken level as its new role, check four things.

1. The zone mattered before it broke. A flip borrows its strength from the original level. A zone that scored poorly in its first role will not suddenly become important in its second. Prime and working zones (Lesson 4) flip best.

2. The break was decisive. Look for at least one strong candle *closing* clearly beyond the zone, ideally followed by more candles moving away. A decisive break traps the defenders: they are now holding losses big enough to worry about. A break that oozes through the zone in small overlapping candles traps nobody.

3. Price travelled away before coming back. If price breaks the zone by five pips and immediately drifts back, the defenders never felt real pain. As a guide, look for price to have travelled at least the height of the zone again — preferably much more — before the retest.

4. It is the first retest. Just like a fresh zone in Lesson 4, the first return to a flipped zone usually gets the best reaction. Each retest after that spends some of the trapped orders.



Price has seeped into and slightly below the zone in small, overlapping candles. No strong close, no travel away, no one trapped. There is no flip to trade here — just a zone that has stopped working cleanly in either direction.

The failed flip

Sometimes price breaks a zone, retests it from the other side, and instead of rejecting — it closes back through. The flip has failed. This is important information: the break was not real, and the original role of the zone is probably back in charge.



The break below support looked real, but the retest did not hold. Price closed back above the zone and kept going. A short taken at the retest had to be stopped above the zone, and the failure itself was a clue that buyers were still in control.

How do you know a flip has failed? The same way you know a zone has broken: by **closes**. One wick back into the zone means little. A candle that closes back on the original side of the zone — especially a strong one — says the break has been rejected. If you were short from the retest, your stop beyond the zone handles this for you. If you were waiting, the failed flip is a reason to stand aside or, for experienced traders, to look at the original role again.

COMMON MISTAKE

Treating every broken level as an automatic flip and selling the first touch from below. A flip has to be earned: a zone that mattered, a decisive break, real travel away and a first retest. Without those, you are trading a line on a chart, not a crowd of trapped traders.

From flip to trade

Recognising a flip is analysis. Trading one needs the same discipline as everything else in this course: a location, a trigger, a stop and a target. The next lesson builds that into a complete setup — the break-and-retest trade — but the outline is worth seeing now.

Suppose (illustratively) a daily support zone at 1.2440–1.2490 on GBP/USD has held three times. Price breaks it with a large daily close at 1.2385 and falls to 1.2280 over the next week — more than twice the zone's height away. That passes all four quality checks: the zone mattered, the break was decisive, price travelled, and the coming retest will be the first.

When price rallies back towards 1.2440, a flip trader does not simply sell at the zone edge. They wait for a bearish trigger at or inside the zone — evidence that sellers are defending it in its new role. The stop goes above the whole zone, at roughly 1.2500 or higher, not at 1.2445. The target is the next support on the map. If the distance to that target is not at least one and a half times the distance to the stop, there is no trade, however clean the flip looks.

Notice that everything in that plan can be written down before price arrives. That is the point. A flip is not something you discover in the heat of the moment; it is a scenario you prepared for when the zone broke.

Flips on different timeframes

Role reversal works on every timeframe, but its weight follows the same rule as everything else: higher timeframes carry more. A flipped daily zone can define a market's direction for weeks. A flipped 15-minute level might matter for an hour. When a lower-timeframe flip lines up with a higher-timeframe zone — for example, a 1-hour resistance flip sitting inside a daily resistance zone — treat the daily zone as the main event and the 1-hour flip as a refinement of it.

Going deeper

Flips and time. A flip is strongest when the retest comes reasonably soon after the break — within days on the 4-hour chart, within a few weeks on the daily. The trapped traders are still trapped and still watching. If the retest comes months later, many of them have already given up and closed at a loss somewhere else. The zone may still matter, but less.

The "polarity" of very large zones. Major daily or weekly zones can flip several times over months. Each flip weakens the next, for the same reason repeated tests weaken a zone. A level that has switched roles three or four times is often better treated as a magnet — somewhere price gravitates and chops — than as a clean turning point.

Flips inside ranges. In a sideways market, the middle of the range often contains a zone that has acted as both support and resistance many times. Those mid-range zones produce frequent, shallow reactions. They are useful for traders running a range method; they are poor locations for the trend-continuation trades in this course.

Overshoot on the retest. Retests frequently overshoot slightly into the zone, or even a little through it, before rejecting — the stops of traders who sold the break sit just above the zone and get used. This is why entries need a trigger (Module 4) rather than a limit order at the zone edge, and why the stop must sit beyond the whole zone, not at its near edge.

What the chart shows versus what we infer. We cannot see the trapped traders. We infer their existence from the price action: a zone that held, a break that was decisive, and a rejection on the return. That inference is useful because it is consistent with what the chart shows. It is still an inference, which is why every flip trade has a stop.

THE RULES

- Treat a broken zone as a possible flip only if it mattered before, broke decisively on a close, and price travelled away before returning.
- The first retest of a flipped zone is the one to plan for. Later retests carry less weight.
- A close back through the zone on the original side means the flip has failed.
- Never sell the first touch of a flipped zone (or buy it) without a trigger; retests often overshoot.

Summary

- Broken support often becomes resistance, and broken resistance often becomes support, because trapped and waiting traders act at the old level.
- Quality flips need a zone that mattered, a decisive close-through break, travel away, and a first retest.
- Drifting, overlapping breaks trap nobody and rarely produce clean flips.
- A close back through the zone on its original side means the flip has failed — useful information in itself.
- Retests often overshoot into or slightly beyond the zone; plan stops beyond the whole zone.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Why does broken support often turn into resistance?
   A. Because brokers reverse their orders at old levels
   B. Because buyers trapped below their entries, and sellers who missed the break, both sell when price returns to the zone
   C. Because indicators flip at that price
   D. Because the zone gets thinner after a break
2. Which break is most likely to produce a clean flip?
   A. Price oozes through the zone in small, overlapping candles
   B. A strong candle closes well beyond the zone and price travels away before returning
   C. A single wick pokes through and the candle closes back inside
   D. Price breaks by two pips and returns immediately
3. Price broke below support, rallied back into the zone, and has now closed strongly back above it. What does that tell you?
   A. The flip is confirmed; sell more
   B. The flip has failed — the break has been rejected
   C. Nothing; closes don't matter on retests
   D. The zone should be redrawn lower
4. In the 'resistance becomes support' chart, what additional confluence did the retest have?
   A. A round number
   B. It formed a higher low in a new uptrend
   C. An RSI divergence
   D. It was a weekly zone
5. A zone has flipped from support to resistance and back again four times over several months. How should you treat it?
   A. As a very strong level — it has proved itself many times
   B. More as a magnet where price chops than as a clean turning point
   C. As a zone with no meaning at all
   D. As a weekly zone automatically

Zone Breaks and the Retest Trade.

MODULE 3 — HOW PRICE BEHAVES AT ZONES · LESSON 6

Tell a genuine break from a wick-through, trade the first retest of a broken zone with a defined stop and target, and know when to let a breakout go.

Zones do not hold forever. Sooner or later every level on your map will break, and the way it breaks tells you a great deal about what comes next. A trader who cannot tell a genuine break from a probe will keep selling bottoms and buying tops. A trader who can will find that breaks produce some of the clearest trades on the chart — not on the break itself, but on the **retest** that often follows.

This lesson covers three things: how to judge whether a zone has really broken, how to trade the retest with a stop and target you can define in advance, and how to recognise the breakouts you should simply let go.

Wick through versus close through

Lesson 2 established the rule: zones are judged by closes, not touches. A break is no different. The question is never "did price go above resistance?" It is "did a candle **close** clearly above the zone — and did price keep going?"



The first push wicked 20 pips above the zone and closed back inside it: a rejection. The second closed 28 pips above the zone with a large body and was followed by more buying. Same zone, opposite verdicts — decided by the close.

A **genuine break** usually shows three things:

1. **A decisive close beyond the zone** — not one pip beyond the edge, but a clear distance. As a rough guide on the 4-hour, at least a third of the zone's height, or more.
2. **A strong candle** — a large body, small wick on the breakout side. The market is accepting the new prices, not probing them.
3. **Follow-through** — the next candle or two continue in the same direction, or at least do not immediately reverse.

A break that closes just beyond the edge with a small body, then stalls, is at best uncertain. Treat it as unconfirmed. Lesson 7 covers what happens when it reverses.

KEY POINT

A break is a close, a strong body and follow-through. A wick beyond the zone is a probe until proven otherwise.

Why not just buy the breakout?

When price closes strongly above resistance, the obvious move is to buy straight away. Sometimes that works. Often it puts you in at a poor location: price has just travelled a long way, your stop has to go back below the zone (a long way away), and the market frequently pulls back before going further. You end up with a large stop, a modest target and a nervous few hours.

The **retest** solves this. After a genuine break, price often returns to the broken zone — now acting in its new role, as you saw in Lesson 5. If buyers defend it there, you get an entry close to the zone, a stop just beyond it, and the whole move to the next zone as your potential target.

The retest trade, step by step

Here is the method, described for a broken resistance (long). Turn it upside down for a broken support (short).

1. **Confirm the break.** A strong close above the zone with follow-through, as described above.
2. **Wait for the return.** Do nothing until price pulls back into or near the zone. No retest, no trade.
3. **Wait for a trigger in the zone.** A bullish rejection candle — a pin bar, an engulfing candle, a strong close off the zone (Lesson 8 details these). The trigger is the evidence that buyers are actually defending the flipped level.
4. **Enter** on the close of the trigger candle, or the open of the next.
5. **Stop** below the whole zone, plus a buffer — not at the zone's near edge.
6. **Target** the near edge of the next opposing zone on your map.
7. **Check the maths.** If the distance to the target is less than about 1.5 times the distance to the stop, skip it.



Resistance broke with a strong close, price ran 60 pips, then returned to the zone. A bullish pin bar (ringed) closed back above it. Entry after the next candle confirmed, stop 8 pips below the zone, target at the near edge of the next resistance: about 1.6R.

Walk through the numbers (illustrative). Entry around 1.2784, stop at 1.2742 below the zone — 42 pips of risk. Target at 1.2850, just under the next resistance zone — 66 pips of potential reward. That is about 1.6R: acceptable, not spectacular. If you risk 1% of the account on the trade, the position size is set so that 42 pips equals 1%; the target, if reached, returns roughly 1.6%.

The retest that fails

Every method has losing trades, and this one loses in a specific way: price retests the zone, shows a trigger, and then breaks back through. When that happens, the stop beyond the zone does its job.



The break looked fine and the retest produced a pin bar. But price could not get away from the zone, and a strong candle closed back below it. The stop 10 pips under the zone limited the damage to 1R. Nothing about this trade was wrong; it simply lost.

Look at what distinguishes the two charts *after* entry, because those clues are useful for management. In the winner, price left the zone immediately after the trigger. In the loser, price stalled just above the zone for several candles, unable to make progress. Hesitation after a trigger is not a reason to exit early on its own, but it is a reason not to add to the position and to expect that the stop may be tested.

COMMON MISTAKE

Moving the stop further away when a failing retest approaches it. The stop is beyond the zone for a reason: if price closes back through the zone, the break has failed and the trade idea no longer exists. Widening the stop turns a planned 1R loss into an unplanned larger one.

When there is no retest

Some breakouts never look back. Price breaks a zone and keeps going to the next one without ever returning. It is frustrating to watch, and it tempts you to chase.



Price broke out and never returned to the zone. Buying at the marked pause would have meant a stop 90 pips away, back below the zone, for an unclear target. No retest means no trade under this method — and that is a perfectly good outcome.

You will miss moves like this. That is the price of a method that insists on good locations. Over many trades, the breakouts you miss cost you nothing; the breakouts you chase at poor prices cost you a great deal.

Practice drill



Support broke decisively, price fell 90 pips and has now rallied back into the broken zone. The last two candles are shown. Trade or no trade — and if so, where are the stop and target?

THE REVEAL



THE ANSWER

A valid trade. The zone mattered (two clear holds), the break was decisive with a large close and 90 pips of travel, and this is the first retest. The ringed candle wicked above the zone but closed back inside it, and the next candle closed firmly below it: a bearish trigger. Entry around 1.0788, stop above the wick and zone with a buffer at about 1.0830 (42 pips), target at the near edge of the next support around 1.0710 (78 pips) — roughly 1.9R. It worked here; it might not have, which is why the stop was defined before entry.

Managing the trade after entry

Once you are in, the plan does most of the work. Three rules keep you from undoing it:

- **Leave the stop beyond the zone** until price has formed a new swing point clearly away from it. Only then consider tightening the stop to beyond that new swing.
- **Leave the target at the next zone.** If price stalls short of it, that is the market's decision, not a reason to move the target closer in a panic or further away in hope.
- **Do not add to a trade that is hesitating.** Price stalling just beyond the zone after a trigger is a warning sign, as the failed retest above shows.

Going deeper

Break timing and sessions. In forex, many decisive breaks happen at session opens — London and New York — when liquidity arrives. Breaks during the quiet Asian session on European pairs, or in the last hours of

Friday, are more prone to reverse. This is not a rule, but it is a reason to give an Asian-session break less credit until it is confirmed.

Retest depth. Retests vary. Some only touch the near edge of the zone; some push all the way through it before rejecting. A retest that closes back *inside* the zone and then rejects is still valid. A retest that *closes beyond* the far edge is not a retest — it is a failed break, and the trade is off.

The second retest. If the first retest works and price later returns to the zone again, the second retest is weaker — the trapped orders have been partly spent. Some traders take it at reduced size; many skip it.

Entering without a trigger. A limit order at the zone edge gets better prices on the retests that work, and gets filled on every retest that fails. On balance, waiting for the trigger costs you some entries and some pips, and saves you from many of the failures. That trade-off is the core of this course's approach.

Expectancy, honestly. A hypothetical illustration of why the 1.5R minimum matters: if half your retest trades lose 1R and half win 1.6R, the average per trade is +0.3R before costs. If your winners only reach 1R, the same hit rate produces nothing after spreads. These numbers are invented to show the arithmetic, not a description of how any method performs. Your journal is the only place your real numbers come from.

THE RULES

- A break needs a decisive close beyond the zone, a strong body and follow-through. A wick through is not a break.
- Trade the first retest only, and only after a trigger candle in or at the zone.
- Stop beyond the whole zone plus a buffer. Target the near edge of the next opposing zone.
- Skip the trade if the target is less than about 1.5 times the risk.
- No retest, no trade. Never chase a breakout with a stop back beyond the zone.

Summary

- Breaks are confirmed by a decisive close, a strong body and follow-through, never by a wick.
- The retest gives a better location than the breakout: entry near the zone, stop just beyond it, the move to the next zone as the target.
- Wait for a trigger at the retest; enter, stop beyond the zone, target the next zone, and check the reward is at least about 1.5R.
- Retests fail sometimes. The stop beyond the zone turns that into a controlled 1R loss.
- When there is no retest, let the move go.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Which of these best confirms that a resistance zone has genuinely broken?

   A. A wick 20 pips above the zone

   B. A large-bodied candle closing clearly above the zone, followed by more buying

   C. A candle closing one pip above the zone edge

   D. Price touching the zone three times

2. Why does this course prefer trading the retest rather than the breakout candle itself?

   A. Retests always succeed

   B. The retest gives an entry close to the zone, a nearby stop and the move to the next zone as the target

   C. Breakouts are not allowed in forex

   D. Retests happen on every break

3. In a long retest trade, where does the stop go?

   A. At the top edge of the broken zone

   B. In the middle of the zone

   C. Below the whole zone plus a buffer

   D. At the high of the breakout candle

4. Entry 1.2784, stop 1.2742, nearest opposing zone starts at 1.2810. What should you do?

   A. Take it — any trade with a stop is fine

   B. Skip it — the reward (26 pips) is well under 1.5 times the risk (42 pips)

   C. Move the stop to 1.2775 to improve the ratio

   D. Ignore the next zone and target 1.2900

5. A breakout runs 90 pips beyond the zone and never comes back. What does the method say?

   A. Buy now before it goes further

   B. No retest, no trade — let it go

   C. Sell, because it must come back

   D. Buy with no stop

6. In the failed-retest chart, what was the warning sign after entry?

   A. Price left the zone immediately

   B. Price stalled just above the zone for several candles, unable to make progress

   C. The trigger candle was too large

   D. The target was too close

False Breaks and Stop Runs.

MODULE 3 — HOW PRICE BEHAVES AT ZONES · LESSON 7

Recognise when price has run the stops beyond a zone and been rejected, trade the reclaim with a defined stop, and tell it apart from a break that is real.

You have probably lived this. You buy at support. You put your stop a few pips below it, like everyone tells you to. Price dips, takes your stop by four pips — and then rallies 150 pips without you. It feels personal. It feels like someone saw your order.

Nobody saw *your* order. But plenty of people could see where orders like yours were likely to be, because they were sitting just below an obvious level, exactly where the textbooks put them. This lesson explains the **stop run**, also called a false break or fakeout: what it is, why it happens at obvious levels, how to read it as it forms, and how to turn it from something that happens to you into a setup you can trade with a defined risk.

Where the stops are

Recall Lesson 1. Traders who buy at support place sell stops just below it. Traders who sell at resistance place buy stops just above it. The more obvious the level, the larger the cluster. And stops are market orders waiting to be triggered: when price reaches them, they execute at whatever price is available.

That makes the area just beyond an obvious zone a **pool of guaranteed orders**. For a large participant who wants to buy a lot without pushing the price up against themselves, a burst of forced selling from triggered stops is useful: it supplies sellers to buy from. Whether anyone is doing this deliberately in a given case is unknowable from your chart. What you can see is the footprint — and it is distinctive.



Two clean holds made this zone obvious, which put a crowd of sell stops just beneath it. One candle dropped through, triggered them and closed below. The very next candle took it all back. The level held — after clearing out its weakest defenders.

The anatomy of a false break

A false break at support has a recognisable shape:

1. **An obvious zone.** Several clear reactions, visible to everyone. That is what puts the stops there.
2. **A push beyond the zone.** Either a long wick through it (the version you met in Lesson 2), or — more deceptively — a candle that actually *closes* beyond it.
3. **A fast, strong reclaim.** Within one to three candles, price closes back inside or above the zone, usually with a large body. This is the critical part. The market tried lower prices, triggered the stops, and found more buyers than sellers.
4. **Trapped breakout traders.** Anyone who sold the break is now underwater with their stop above. As price rises, their buy stops add fuel.

The reclaim is what separates a false break from a genuine one. A genuine break, as you saw in Lesson 6, closes beyond the zone and *keeps going*. A false break closes beyond it and is *dragged back*.

KEY POINT

A false break is defined by the reclaim: a fast, strong close back inside the zone. Without that, you are looking at a break.

Trading the reclaim

Here is the setup, described for support (reverse it for resistance).

1. **The zone must be worth trading.** A working or prime zone from Lesson 4, ideally with obvious prior reactions.
2. **Price pushes beyond the zone** — a wick or a close.
3. **Wait for the reclaim candle:** a strong close back inside the zone, within three candles of the push. A strong close means a large body finishing in the upper part of its range.
4. **Enter** on the close of the reclaim candle, or the open of the next.
5. **Stop below the spike low**, plus a buffer. The spike low is now the line in the sand: if price goes back below it, the stops have been run and there were no buyers waiting after all.
6. **Target** the near edge of the next resistance zone. Check the reward is at least about 1.5 times the risk.



A close below support, then a large bullish candle closing back above the zone. Entry on the reclaim, stop 8 pips below the spike low, target just under the next resistance zone: 1.5R. The trapped breakout sellers added fuel as price rose.

The numbers (illustrative): entry 1.2676, stop 1.2612 (64 pips of risk), target 1.2772 (96 pips) — 1.5R. Notice that the stop is wider than for a normal rejection trade, because it must sit beyond the spike, not just beyond the zone. That is the cost of this setup. If the stop makes the reward less than about 1.5R, skip it, however good the reclaim looks.

When the "false break" is real

Not every push beyond a zone comes back with conviction. Sometimes price reclaims weakly — a small candle that closes barely inside the zone — and then rolls over again. A trader who calls every break "a stop run" will buy that weak reclaim and lose.



The reclaim candle closed only just inside the zone, with a small body and an upper wick. Buyers were not in control. The next candles stalled and price fell through the spike low, taking the stop. In hindsight the reclaim was the warning — it was never strong.

Compare the two reclaims:

- **Strong:** a large body, closing well inside or above the zone, ideally engulfing the breakdown candle. The next candle does not immediately give it back.
- **Weak:** a small body, closing barely inside the zone, often with a long upper wick. The candles after it hesitate.

A weak reclaim is not a setup. It is a pause in a breakdown. The disciplined response is to skip it — and the trade on the chart above should not have been taken under this lesson's rules. It is shown because almost every trader takes this trade at some point, and the stop below the spike is what keeps the mistake small.

COMMON MISTAKE

Labelling every break a "stop hunt" after the fact. The story is always available in hindsight. Before the fact, the only evidence that counts is a strong, fast reclaim. No reclaim, no false break.

False breaks at round numbers

Round numbers attract stops in huge numbers, because traders love to put orders at or just beyond them. That makes zones containing a whole figure especially prone to overshoots.



Resistance sat right around 150.00. One candle closed 22 pips above the zone, triggering buy stops above the round number. The next candle engulfed it and closed back below. Short on that close, stop above the spike, target at the next support: about 1.3R — a marginal trade that only just fails the 1.5R minimum.

Look again at the caption. This false break was clean, and it worked — but the reward was only about 1.3R once the stop sat properly above the spike. Under this course's rules, it is a skip. Good-looking setups with poor arithmetic are still poor trades. Do not let a result you can see in hindsight change the rules you apply in advance.

Reading the push in real time

When price pushes beyond a zone you are watching, you do not know yet whether it is a break or a stop run. Ask these questions in order, candle by candle:

1. **Did the candle close beyond the zone, or only wick?** A wick-only push is a candidate pin bar. A close beyond is a candidate break — or a candidate two-candle false break.
2. **How did the next candle behave?** Follow-through away from the zone points to a break. A strong move back towards the zone points to a stop run.
3. **Has a candle closed back inside, strongly?** Only now, with a strong reclaim, is there a false-break setup.
4. **Does the arithmetic work?** Stop beyond the spike, target at the next zone, at least 1.5R.

Until question 3 has a clear yes, you have no trade in either direction. Patience here is not passivity; it is waiting for the market to tell you which of two stories is true.

Going deeper

Wick-only versus close-beyond false breaks. A wick through the zone with a close back inside (a pin bar) is a false break in miniature, completed within one candle. The two-candle version — close beyond, then reclaim — traps more traders, because breakout traders acted on the close. That can produce sharper reversals, but also requires a wider stop. Neither is better in principle; the arithmetic decides.

How far beyond is too far? A stop run that travels a long way beyond the zone — say, more than the zone's own height again — starts to look less like a run on nearby stops and more like a genuine move that happened to reverse. The reversal can still be traded, but the stop gets so wide that the trade rarely passes the 1.5R test.

The second attempt. After a failed false break (the weak reclaim above), price often retests the zone from below as new resistance — Lesson 5's flip. The trader who lost on the weak reclaim can, with discipline, find a valid short on that retest. The zone did not stop mattering; it changed role.

Higher-timeframe context. False breaks against the higher-timeframe trend are more likely to fail. A stop run below support in a strong daily downtrend is often just the first leg of the breakdown. A stop run below support that forms a higher low in a daily uptrend has the bigger picture on its side.

Language discipline. Phrases like "smart money hunted the stops" describe an *interpretation*. The chart shows a push beyond a level, a burst of activity, and a reclaim. That is enough to trade. Price first, story second — and never let the story talk you into a trade the price action has not confirmed.

THE RULES

- Only trade false breaks at working or prime zones with obvious prior reactions.
- The reclaim must be strong and fast: a large-bodied close back inside the zone within three candles.
- Stop beyond the spike extreme plus a buffer, not just beyond the zone.
- Target the next opposing zone. If the reward is less than about 1.5 times the risk, skip it.
- A weak reclaim is a pause in a breakdown, not a setup.

Summary

- Stops cluster just beyond obvious zones, especially near round numbers. Pushes into those clusters are common.
- A false break is a push beyond the zone followed by a fast, strong reclaim. The reclaim defines it.
- Trade it on the reclaim close, with the stop beyond the spike and the target at the next zone — if the arithmetic works.
- Weak reclaims often fail. Skip them.

- The story of who hunted whose stops is optional. The price action is not.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Why do false breaks happen most often at obvious levels?
   A. Because obvious levels are always wrong
   B. Because obvious levels have the largest clusters of stop orders just beyond them
   C. Because brokers move prices at obvious levels
   D. Because indicators lag at obvious levels
2. What is the defining feature of a false break, as opposed to a genuine break?
   A. A long wick
   B. A fast, strong close back inside the zone after the push beyond it
   C. A round number nearby
   D. High volatility
3. In a false-break long, where does the stop belong?
   A. Just below the zone
   B. Below the spike low, plus a buffer
   C. At the entry price
   D. At the midpoint of the reclaim candle
4. A candle closes below support, and the next candle closes just 2 pips back inside the zone with a small body and a long upper wick. What does this lesson say?
   A. Strong reclaim — buy
   B. Weak reclaim — not a setup
   C. Genuine break — sell immediately with no stop
   D. Redraw the zone lower
5. A clean false break above 150.00 offers entry 149.84, stop 150.38 and the next support at 149.14. Should you take it under this course's rules?
   A. Yes — it is a clean false break at a round number
   B. No — 70 pips of reward for 54 pips of risk is about 1.3R, under the 1.5R minimum
   C. Yes, but move the stop to 150.10 to improve the ratio
   D. Only if the RSI agrees
6. Which statement keeps the right discipline about 'stop hunts'?
   A. Large players always hunt retail stops, so fade every break
   B. The chart shows a push beyond a level and a reclaim; that observable behaviour, not the story, is what you trade

C. Stop hunts can be predicted from the economic calendar

D. Never use stops, so they can't be hunted

Trading Rejections — Candle Triggers at the Zone.

MODULE 4 — TRADING THE ZONE · LESSON 8

Use three precise candle triggers to decide when a zone is being defended, and know when the right candle in the wrong place is no trade at all.

Everything so far has been about **location**: where the zones are, how good they are, how they break and flip. Location tells you where to pay attention. It does not tell you when to act.

Price arriving at a support zone is not a reason to buy. The zone might hold; it might break; it might be run for stops first. What you need is **evidence**, visible on the chart, that the other side has actually turned up and is defending the level. In this course that evidence is a **trigger candle** — one of three specific candle patterns that show rejection, closing in or at the zone.

This lesson defines those three triggers precisely, shows how to turn them into entries with stops and targets, and spends as much time on when *not* to act as on when to act.

Why candles, and why at the zone

A single candle is a compressed story of one period's battle. Its open, high, low and close tell you who pushed, how far, and who won by the end. Most candles, most of the time, tell you very little. But at a zone that you scored and planned for in advance, a candle that shows rejection carries real information: the level was tested, and it pushed back.

Notice the order. **Zone first, candle second.** A perfect-looking pin bar in the middle of nowhere is just a candle with a long wick. The same candle at a prime support zone is a trigger. The zone gives the candle its meaning.

KEY POINT

The zone is the reason. The candle is the evidence. You need both.

Trigger 1: the pin bar

A **bullish pin bar** at support has a long lower wick, a small body, and closes in the upper part of its range. It says: sellers pushed price down into the zone, buyers took it all back before the close.

The definition used in this course (reverse it for a bearish pin at resistance):

- The lower wick is **at least twice the length of the body**.
- The candle **closes in the upper third** of its full range.

- The wick **reaches into the zone** (or through it), and the candle **closes back inside or above** the zone.
- The candle is noticeably larger than the few before it. A tiny pin in a quiet market says little.



Price fell into a prime support zone and printed a pin bar: a 19-pip lower wick, a 7-pip body, a close in the top fifth. Entry on its close, stop 8 pips below the wick, target just under the next resistance: about 2.1R.

Trigger 2: the engulfing candle

A **bearish engulfing** candle at resistance opens at or above the previous candle's close and closes *below* the previous candle's open, swallowing its whole body. It says: buyers pushed into the zone, and in the next period sellers not only stopped them but reversed the entire previous candle.

The definition used in this course (reverse it for bullish engulfing at support):

- The previous candle is bullish and pushes into or through the resistance zone.
- The engulfing candle's **body completely covers** the previous candle's body.
- It **closes back below** the zone, or at least in the lower part of it.
- It closes in the **lower third** of its own range — sellers kept control into the close.



A bullish candle pushed into resistance; the next opened above its close and finished 23 pips lower, below the first candle's open — swallowing it whole and closing below the zone. Entry on the close, stop above the zone and the high, target at the next support: about 1.9R.

Trigger 3: the reclaim close

You met the third trigger in Lesson 7. Price pushes **beyond** the zone — a close through it — and then a strong candle **closes back inside** within one to three candles. It is the two-candle cousin of the pin bar, and it carries the same message: the push beyond the zone was rejected.

Use the same quality test as Lesson 7: a large body, a close well back inside the zone, and ideally a close above the breakdown candle's open. Stops go beyond the spike extreme, which often makes this the widest-stop trigger of the three.

Entries, stops and targets

For all three triggers, the mechanics are the same:

- **Entry:** on the close of the trigger candle, or at the open of the next candle. Some traders wait for the next candle to move in their direction first, accepting a slightly worse price for extra confirmation. Choose one approach and use it consistently.
- **Stop:** beyond the trigger's extreme *and* beyond the zone, plus a buffer. Lesson 9 covers buffers in detail.
- **Target:** the near edge of the next opposing zone on your map.
- **Size:** set so that the distance from entry to stop equals your fixed risk per trade — for example 0.5–1% of the account (illustrative).

The right candle in the wrong place

Here is the trap that catches traders who learn candle patterns before they learn location.



A textbook bullish pin bar — but it formed about 70 pips above support and 65 below resistance, at no level at all. There is no reason for buyers to defend this price, and no zone to put a stop beyond. The bounce faded within a few candles.

A pin bar here is just a candle with a long wick. There is no zone behind it, no trapped traders, no unfinished business. And practically, there is nowhere sensible for a stop. Below the wick? That is an arbitrary price. Below the next support? That is 70 pips away. Either way you are trading a pattern, not a level.

COMMON MISTAKE

Learning candle patterns first and hunting for them everywhere. A trigger only counts in a zone you scored before price arrived. Everywhere else, it is noise with a name.

A good trade that lost

The final chart matters as much as any other in this course. It shows a trade that met every rule — prime zone, clean trigger, correct stop, sound target — and lost.



A bullish engulfing candle at a scored support zone. Entry, stop beyond the zone, target at the next resistance: 2.1R on paper. Three candles later, price closed through the zone and took the stop. The process was right; the outcome was a 1R loss.

There is nothing to fix in this trade. The zone was real, the trigger was valid, the risk was defined before entry and the stop was where the trade idea became wrong. Sometimes the zone simply fails. If you change your rules every time a valid trade loses, you will end up with no rules — just a collection of reactions to your most recent loss.

The useful questions after a loss like this are about *process*, not outcome: was the zone scored before price arrived? Was the trigger within definition? Was the stop placed where the idea was invalidated, and the position sized to it? If yes to all, the loss is the cost of doing business. Record it and move on.

Practice drill



Price has reached a working support zone and the last three candles all have lower wicks. Is there a valid trigger under this lesson's definitions?

THE REVEAL



THE ANSWER

No trigger. The last three candles have small lower wicks, but none closes in the upper third of its range, none engulfs the previous candle, and the most recent closes at the very bottom of the zone. Sellers are pressing; buyers are absorbing but not winning. The correct action is to wait. Price closed through the zone two candles later.

Going deeper

Why fixed definitions? Candle patterns are notoriously elastic: given enough wanting, almost any candle can be called a pin bar. A written definition — wick twice the body, close in the upper third, wick into the zone — is a guard against your own enthusiasm. You can tighten or loosen the numbers from your journal later, but use *some* numbers.

Trigger timeframe. Use the timeframe one step below your map for triggers: a daily zone with a 4-hour trigger, a 4-hour zone with a 1-hour trigger. Triggers on the same timeframe as the zone come late and need wide stops; triggers far below it (a 5-minute pin bar at a daily zone) appear constantly and mean little.

Confirmation entries. Waiting for the candle after the trigger to break the trigger's high (for longs) filters out some failures and costs you some entry price and some trades that run without you. Neither choice is right in general; the journal tells you which suits you.

Size of the trigger relative to the zone. A pin bar whose wick is three times the height of the zone, on a quiet day, is unusual and powerful. A pin bar smaller than the zone is weaker evidence — it is just jostling inside the level. Context and proportion matter more than shape alone.

News candles. A huge pin bar formed during a data release reflects a few minutes of thin, jumpy liquidity. It can work, but it is a less reliable signal of sustained defence than a pin formed during normal trading. Many traders simply ignore triggers formed on major news.

Outcome thinking. In any random sequence of valid trades, losing streaks of five or six in a row are normal even for methods that are profitable over time. Fixed risk per trade (for example 0.5–1%) exists so that such a streak is an unpleasant week, not the end of an account.

THE RULES

- No zone, no trade. Triggers only count inside a zone scored before price arrived.
- Use only the three defined triggers: pin bar, engulfing candle, strong reclaim close.
- Stop beyond the trigger extreme and the zone, plus a buffer. Target the next opposing zone.
- Judge losing trades by process, not outcome. Do not change the rules after a single valid loss.

PRE-TRADE CHECKLIST

- ☐ The zone is on my map, scored 4 or more before price arrived
- ☐ A trigger has closed: pin bar, engulfing, or strong reclaim, within definition
- ☐ The stop sits beyond the trigger extreme and the whole zone, plus a buffer
- ☐ The target is the near edge of the next opposing zone, and the reward is at least 1.5R
- ☐ Position size is set so the stop distance equals my fixed risk per trade
- ☐ No high-impact news is due before the trade has had time to work

Summary

- A zone tells you where; a trigger candle tells you when. You need both.
- The three triggers are the pin bar, the engulfing candle and the strong reclaim close, each with a written definition.
- Enter on the trigger close, stop beyond the trigger and the zone, target the next opposing zone, size to a fixed risk.
- The right candle in the wrong place is no trade.
- Valid trades lose. Judge them on process.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Which candle meets this course's definition of a bullish pin bar at support?
   A. Lower wick 6 pips, body 10 pips, closes mid-range
   B. Lower wick 22 pips, body 6 pips, closes in the top fifth, wick into the zone
   C. Upper wick 20 pips, body 5 pips, closes near the low
   D. No wicks, large green body
2. What makes a bearish engulfing candle at resistance a valid trigger?
   A. It is red
   B. Its body covers the previous bullish candle's body and it closes in its lower third, back below or low in the zone
   C. It has a long upper wick
   D. It forms anywhere in an uptrend
3. A perfect pin bar forms 70 pips above the nearest support zone. What should you do?
   A. Buy — the pattern is perfect
   B. Nothing — there is no zone, so it is not a trigger
   C. Buy with a stop at the support zone 70 pips away
   D. Sell, because pin bars fail away from zones
4. In the 'every rule followed' chart, what is the right conclusion?
   A. Engulfing candles do not work on USD/JPY
   B. The stop should have been wider
   C. The process was correct; this was a normal 1R loss
   D. Support zones should be scored higher before trading
5. Your map is on the daily chart. On which timeframe does the lesson suggest looking for triggers?
   A. Weekly
   B. Daily
   C. 4-hour
   D. 1-minute
6. In the drill, why was there no trigger?
   A. The zone score was too low to trade
   B. None of the candles closed in its upper third or engulfed the previous candle; the last closed at the zone's bottom

C. There were too many wicks

D. It was the wrong time of day

Stops Beyond Zones, Targets to the Next Zone.

MODULE 4 — TRADING THE ZONE · LESSON 9

Place stops where the trade idea is genuinely wrong, set targets from your zone map, size positions from the stop, and reject trades that lack room.

Two traders take the same trade from the same zone with the same trigger. One puts the stop ten pips under the entry because it "feels about right" and aims for "around 2R". The other puts the stop beyond the zone, where the idea is wrong, and aims for the next zone on the map, where the next crowd of orders sits. Over a hundred trades, these two will have very different results, and the difference has nothing to do with entries.

This lesson is about the parts of a trade that most courses rush: where the stop goes, where the target goes, how big the position is, and when the honest answer is "this trade does not fit". Support and resistance is unusually good at answering all four, because the zones themselves tell you where the trade is wrong and where it is likely to run out of road.

Where the trade is wrong

A stop-loss is not a pain threshold. It is the price at which **the reason for the trade no longer exists**.

For a long from support, the reason is "buyers are defending this zone". When is that reason gone? Not when price wicks into the zone — wicks into the zone are the zone being tested, which is what you expected. The reason is gone when price trades **beyond the whole zone and beyond the trigger's extreme**, by enough to rule out ordinary noise.

So the stop goes:

1. Beyond the **far edge of the zone**,
2. Beyond the **extreme of the trigger** (the pin's wick, the engulfing candle's low, the reclaim's spike),
3. Plus a **buffer** for spread and noise.

Whichever of the first two is further away sets the base; the buffer goes on top.



The tight stop sat inside the zone, 16 pips below entry, offering 3.6R on paper. Three candles later an ordinary wick into the zone took it out — and price then rallied to the target. A stop beyond the zone would have meant 36 pips of risk, about 1.6R, and a winning trade.

Look at the arithmetic in that caption. The tight stop *looked* better: 3.6R instead of 1.6R. But the tight stop was inside the zone, inside the range where price was always likely to wander. A 3.6R trade that gets stopped out by normal behaviour is worth less than a 1.6R trade that has room to work.

KEY POINT

A stop belongs where the trade idea is wrong — beyond the zone and the trigger — not where the loss feels comfortable.

How big a buffer?

The buffer exists because wicks overshoot, spreads widen and every broker's feed differs slightly. A workable starting point for major pairs:

- **1-hour trades:** 3–6 pips beyond the zone/trigger.
- **4-hour trades:** 5–10 pips.
- **Daily trades:** 10–20 pips.

Scale up for more volatile pairs (GBP crosses, gold) and for unusually volatile weeks. A slightly better rule of thumb, once you are comfortable: around 10–15% of the pair's average daily range on the trade timeframe. The exact figure matters less than using the same logic every time.

Round numbers and stops

Round numbers attract stops, and stop clusters attract price (Lesson 7). So the worst place for your stop is *exactly* on a round number or a few pips beyond it, where everyone else's is.



The zone sat just above the 1.0800 whole figure, so stops naturally crowded at 1.0797. The test candle overshot to 1.0794 and took them. A stop at 1.0784 — clear of the round number and the overshoot — survived, and the trade reached its target.

When a zone sits on or next to a round number, push the stop clearly past the figure — 10 pips or more beyond it on an hourly or 4-hour trade. Yes, that increases your risk in pips. Position sizing takes care of that.

Targets: the next zone

Your zone map is also your target map. A long from support has a natural destination: **the near edge of the next resistance zone above**. That is where the next crowd of sellers sits, where the trade is most likely to stall.

Three rules keep targets honest:

1. **Target the near edge, not the middle or the far edge.** Price often reacts as soon as it touches the zone. Aiming for the far edge asks the market to push through a crowd of opposing orders to reward you.
2. **Use the next zone that scored 4 or more.** Background zones (0–3) may slow price, but they are not where you expect it to stop. Note them as possible obstacles.
3. **Do not invent targets.** If there is no clear zone above, use a conservative fixed multiple — 2R is a common choice — rather than a hopeful one.



Price rallied from the support trigger straight into the next resistance zone — and turned the moment it got there. The target just below the near edge was filled; a trader aiming for the far edge of the zone watched a winning trade come back.

Position size comes from the stop

Once the stop is set by the chart, the position size follows from the risk you have chosen, not the other way round.

Position size = (account × risk per trade) ÷ (stop distance in pips × pip value).

An illustrative example: a £10,000 account risking 1% per trade risks £100. If the stop is 40 pips away and one standard lot on EUR/USD is worth about £8 per pip (the exact value depends on the exchange rate), then the position is £100 ÷ (40 × £8) ≈ 0.31 lots. If the stop were 20 pips away, the same £100 would allow about 0.62 lots.

This is why you never need to squeeze a stop into a zone. A wider stop simply means a smaller position. The pounds at risk stay the same.

When there is no room

The last check before any trade is whether the distance to the target justifies the distance to the stop. This course uses **1.5R as a minimum**: the reward to the target must be at least one and a half times the risk to the stop.



A clean pin bar at support. But the stop must sit 33 pips below entry, beyond the wick, and the next resistance begins just 29 pips above. Reward to the near edge is about 0.8R. The trigger is fine; the location is too cramped. No trade.

This filter costs you trades, and some of the trades it removes would have won. It also stops you taking large numbers of trades where a winner barely pays for a loser. Over time, that matters more.

COMMON MISTAKE

Fixing a poor ratio by moving the stop closer or the target further away. Either change replaces the chart's answer with your preferred one. The stop and target come from the map; the ratio is simply what they produce.

Practice drill



A pin bar at a scored support zone. Entry would be on its close. Work out the stop, the target and the reward-to-risk before you reveal. Does it pass the 1.5R minimum?

THE REVEAL



THE ANSWER

Yes, it qualifies. Entry on the pin's close at 1.0829. Stop beyond the wick and the zone with a 6-pip buffer: 1.0796, so 33 pips of risk. Target just below the resistance near edge at 1.0890: 61 pips of reward, about 1.8R. Price reached 1.0890 and stalled exactly where the map said it might. Had the stop needed to be 45 pips, the same trade would have been 1.4R — and a skip.

Putting it together

A complete example (illustrative): a short from a resistance zone at 1.0880–1.0900 on EUR/USD after a bearish engulfing candle with a high of 1.0904 that closes at 1.0872. The stop goes above the higher of the zone's ceiling (1.0900) and the trigger's high (1.0904), plus an 8-pip buffer: 1.0912, which is 40 pips of risk. The next support zone on the map runs from 1.0790 to 1.0810, so the target is just above its near edge, at 1.0812: 60 pips of reward, 1.5R — right on the minimum. With 1% of a £10,000 account at risk (£100) and roughly £8 per pip per standard lot, the position is about 0.31 lots. Every number came from the chart or the risk rule. None came from a feeling.

Going deeper

Moving stops to breakeven. A common habit is to move the stop to entry once the trade is 1R in profit. It feels safe. With zone-based trades it often converts winners into breakeven exits, because price frequently revisits the zone edge after leaving it. A more defensible rule: only tighten the stop to a new structural point — beyond a new higher low that has formed *above* the zone. If no such point exists yet, leave the stop where the original idea is invalidated.

Partial profits. Taking part of the position off at an intermediate background zone and the rest at the main target is reasonable, provided you decide it in advance and calculate the blended R honestly. Splitting a 1.6R trade into half at 0.8R and half at 1.6R produces a 1.2R trade when both hit — which, by this course's filter, you would not have taken in the first place.

Spread and costs. On short-timeframe trades, the spread can be a meaningful fraction of the stop. A 2-pip spread on a 15-pip stop is a 13% hidden cost on every trade. Include the spread in your R calculation, especially for 1-hour trades and less liquid pairs.

When the stop distance is extreme. If a zone is so wide, or a trigger so long, that the stop needs to be three or four times your usual distance, the position size becomes very small and the trade is fine mathematically. But extreme stops often coincide with extreme conditions — news, illiquid sessions. It is reasonable to have a maximum stop distance per timeframe and simply skip trades beyond it.

Expectancy, illustrated. A hypothetical method that wins 45% of the time at an average of 1.8R and loses 55% at 1R produces $0.45 \times 1.8 - 0.55 \times 1 = +0.26$R per trade before costs. Drop the average winner to 1.2R and it becomes −0.01R. These numbers are invented to show why the 1.5R filter exists; they are not a description of what this or any method achieves.

THE RULES

- Stop beyond the far edge of the zone and the trigger's extreme, plus a buffer. Never inside the zone.
- Keep stops clear of round numbers by a meaningful margin.
- Target the near edge of the next opposing zone that scores 4 or more.
- Size the position from the stop and a fixed risk per trade (for example 0.5–1%, illustrative).
- Minimum 1.5R to the target. Never move the stop or target to make a trade pass.

Summary

- The stop goes where the trade idea is wrong: beyond the whole zone and the trigger's extreme, plus a buffer.
- Tight stops inside the zone produce attractive ratios and frequent avoidable losses.
- Keep stops away from round numbers, where crowded stops attract overshoots.
- The next opposing zone's near edge is the target. Your map is your target map.
- Position size comes from the stop and a fixed risk. If the trade cannot offer about 1.5R, skip it.

CHECK YOURSELF · ANSWERS AT THE BACK

1. For a long from a support zone after a pin bar, where does the stop belong?

   A. Halfway into the zone

   B. Beyond the zone's far edge and the pin's wick, plus a buffer

   C. At a fixed 10 pips below entry

   D. At the previous day's low regardless of the zone

2. A tight stop inside the zone gives 3.6R; a stop beyond the zone gives 1.6R. Which is better, and why?

   A. 3.6R — a bigger ratio always wins

   B. 1.6R — the tight stop sits where ordinary tests of the zone will hit it

   C. Neither — never use stops

   D. 3.6R, but with double size

3. Where should the target for a long from support usually be?

   A. The far edge of the next resistance zone

   B. The near edge of the next resistance zone that scores 4 or more

   C. Exactly 3R, whatever the map says

   D. The all-time high

4. £10,000 account, 1% risk, 40-pip stop, about £8 per pip per standard lot. Roughly what size?

   A. 0.03 lots

   B. 0.31 lots

   C. 1.25 lots

   D. 3.1 lots

5. A valid trigger offers 27 pips to the next resistance for 33 pips of risk. What do you do?

   A. Take it — the trigger is clean

   B. Move the stop to 15 pips to fix the ratio

   C. Skip it — about 0.8R is below the 1.5R minimum

   D. Target the far edge of the resistance zone instead

6. Your support zone sits just above 1.2500. Where is the worst place for your long stop?

   A. At 1.2497, just under the round number

   B. At 1.2482, clearly beyond the round number

   C. Beyond the trigger's wick plus a buffer

   D. Beyond the zone's far edge

Capstone — The Complete Zone-Trading Playbook.

MODULE 4 — TRADING THE ZONE · LESSON 10

Run the whole method end to end — map, score, plan, trigger, manage and review — and follow three complete worked trades, including a loser.

You now have every piece. Why levels exist. How to draw them as zones. How to find the ones that matter, rank them, and read what price does at them: rejection, break, flip, false break. How to enter on evidence, where the stop goes, where the target goes, and when the arithmetic says no.

This final lesson puts the pieces in order. It is written as a playbook: a sequence you can follow every week and every trade, so that your decisions come from the same process whether you are calm, bored, excited or annoyed. After the playbook come three complete worked trades — two winners and a loser — then the strategy passport and the full pre-trade checklist.

As throughout the course, every chart here is an illustrative training chart, and every figure is for teaching. None of it is a recommendation to trade anything.

The playbook in five stages

Stage 1 — Map (weekly, when calm)

Once a week, at a fixed time when you are not looking for a trade:

1. Glance at the **weekly** chart. Note one or two standing extremes.
2. On the **daily** chart, look back six to twelve months. Mark wick-to-body zones at obvious swing points only.
3. Merge overlaps. Cull to three to seven zones within reach of current price.
4. Refine the zones nearest to price on the **4-hour**.
5. Label every zone with its reason in a few words.
6. Archive dead zones: decisively broken and retested, or passed through twice without reaction.

Stage 2 — Score (weekly, before price arrives)

Score each zone out of 8: **departure** (0–2), **freshness** (0–2), **timeframe** (0–2), **independent confluence** (0–2). Write the score on the label.

- 6–8: **prime** — plan for it in advance.
- 4–5: **working** — tradeable with a clean trigger.
- 0–3: **background** — a target or obstacle, never an entry.

Stage 3 — Plan (daily, for zones price could reach)

For each prime or working zone that price could reach in the next day or two, write a short if-then plan:

- *If* price reaches the zone and a defined trigger closes, *then* I enter.
- My stop will be beyond the zone and the trigger extreme, plus a buffer of *x* pips.
- My target is the near edge of the next scored zone at *y*.
- If that cannot give 1.5R, I will not trade it.
- Scenario B: if price closes decisively through the zone instead, I will watch for a retest of it in its new role.

Writing scenario B matters. It stops you from being emotionally married to one outcome, and it turns a broken level into the next opportunity instead of a frustration.

Stage 4 — Trigger and execute

When price reaches a planned zone, drop one timeframe and wait for one of the three triggers: **pin bar**, **engulfing candle** or **strong reclaim close**. When one closes within definition, run the checklist at the end of this lesson. Every box ticked: enter, place the stop, place the target, size the position to your fixed risk. Any box unticked: no trade.

Stage 5 — Manage and review

- Do not move the stop further away. Ever.
- Tighten the stop only to a new structural point beyond the zone, never to breakeven by reflex.
- Leave the target where the map put it.
- After the trade closes, journal it: the zone and its score, the trigger, entry, stop, target, result in R, a screenshot, and one sentence on whether you followed the process.

Review the journal monthly. The questions that matter are about process: which zone scores produced your best and worst trades, which triggers you took outside definition, how often you skipped valid trades or took invalid ones.

Step 1 in practice: the map



Four zones, each labelled with its score. Two prime zones at the extremes, a working flip zone in the middle that has acted as both support and resistance, and a background zone that will only ever be a target or an obstacle. Everything else is empty space.

Worked trade 1: a rejection long at prime support

The setup. EUR/USD, 4-hour execution from a daily map. A support zone at 1.0800–1.0824 scores 7: sharp departure (2), fresh (2), daily (2), the 1.0800 whole figure inside it (1). The next working resistance sits at 1.0900–1.0922.

The plan, written beforehand. If price reaches 1.0800–1.0824 and a bullish trigger closes on the 4-hour, buy. Stop below the zone and trigger plus 8 pips. Target 1.0898, just under resistance. Minimum 1.5R.



A pin bar with a 20-pip lower wick closed in the top fifth of its range, inside the prime zone. Entry 1.0824, stop 1.0788 (36 pips), target 1.0898 (74 pips): about 2.1R. Price left the zone at once and reached the target in under twenty candles.

Execution. The pin bar met every part of the definition: lower wick 20 pips against a body of 8, close in the upper fifth, wick into the zone, close inside it. Entry 1.0824 on the close. Stop 1.0788 — below the wick at 1.0796 and the zone's floor at 1.0800, with a buffer. That is 36 pips of risk. With 1% risk on a £10,000 account (illustrative), £100 ÷ (36 pips × about £8 per pip per lot) ≈ 0.35 lots. Target 1.0898: 74 pips, about 2.1R.

Management. Nothing to do. Price left the zone immediately — the behaviour you hope for after a trigger. The stop stayed where it was until a higher low formed well above the zone; the trader could have tightened to below that, but the target was reached first.

Journal line. "Prime support (7), pin bar in definition, 2.1R planned, 2.1R achieved. Process followed."

Worked trade 2: break, retest, short

The setup. GBP/USD, 1-hour execution. A support zone at 1.2650–1.2668 held twice, then broke with a large close and fell 90 pips. That made it a candidate flip zone: it mattered before (two clear holds), the break was decisive, and price travelled well away. The next support sits at 1.2550–1.2570, from the low of the breakdown.

The plan. If price rallies back to 1.2650–1.2668 for the first time and a bearish trigger closes, sell. Stop above the zone plus 8 pips. Target 1.2572, just above the next support. Minimum 1.5R.



The first rally back into the broken support produced a bearish engulfing candle that closed below the zone. Entry 1.2636, stop 1.2676 (40 pips), target 1.2572 (64 pips): 1.6R. Not spectacular, but inside the rules, and the market paid it.

Execution. The engulfing candle opened at the previous candle's close, swallowed its body and closed 14 pips below the zone, in the bottom of its range. Entry 1.2636. Stop 1.2676 — above the zone's ceiling at 1.2668 with an 8-pip buffer, also above the trigger's high. Risk 40 pips. Target 1.2572: 64 pips, 1.6R. Acceptable, and no more than that.

Why 1.6R was still worth taking. The temptation is to aim lower — "it will probably break the next support too." Perhaps. But the map said the next crowd of buyers sat at 1.2550–1.2570, and the plan said target the near edge. The target is the map's answer, not your hope.

Journal line. "Working flip zone (6), first retest, engulfing in definition, 1.6R planned and achieved. Process followed."

Worked trade 3: the loser

The setup. USD/JPY, 4-hour. A support zone at 150.00–150.20 scored 6. Price pushed below it with a full close, then the next candle reclaimed strongly — a large bullish body closing back above the zone. The next resistance sat at 151.10–151.30.

The plan. Reclaim long if the reclaim is strong. Stop below the spike low plus a buffer. Target 151.06, just under resistance. Minimum 1.5R.



Close below support, then a strong bullish reclaim. Entry 150.22, stop 149.66 (56 pips), target 151.06 (84 pips): 1.5R. Price managed one more small push, stalled, then broke down through the spike low. A 1R loss on a trade taken entirely within the rules.

Execution. The reclaim candle was textbook: a 40-pip body, closing above the zone and above the breakdown candle's open. Entry 150.22. Stop 149.66 — 8 pips below the spike low of 149.74. Risk 56 pips; target 151.06 for 84 pips, exactly 1.5R. The position was sized so 56 pips equalled 1% (illustrative).

What happened. Price made one small push higher, stalled below 150.40, then rolled over. Within about eight candles it had closed below the spike low, taking the stop.

What to learn — and what not to. Look for a process error. The zone was scored before price arrived. The reclaim was within definition. The stop was where the idea was wrong. The target came from the map and passed the minimum. There is no error. The wrong lesson would be "reclaims don't work" or "use tighter stops". The right lesson is the one from Lesson 8: valid trades lose, and fixed risk is what makes that survivable.

There is one useful observation for the journal. After the entry, price stalled instead of leaving the zone — the same hesitation you saw in the failed retest in Lesson 6. It is not an exit signal on its own, but if your journal shows over many trades that stalls like this precede most of your losers, you may later decide to test a rule for it. Test it on your records first; do not invent it after one loss.

Journal line. "Working support (6), strong reclaim in definition, 1.5R planned, −1R result. Process followed. Note: stalled after entry."

The three trades together

TRADE	ZONE SCORE	TRIGGER	PLANNED R	RESULT
1 — EUR/USD long	7	Pin bar	2.1R	+2.1R
2 — GBP/USD short	6	Engulfing	1.6R	+1.6R
3 — USD/JPY long	6	Reclaim	1.5R	−1R

Three trades, chosen to teach, not to represent typical results. In a real sequence the order and mix of winners and losers will be different, and runs of several consecutive losses are normal. What should stay constant is the right-hand column you cannot see here: *process followed* — yes or no.

Going deeper

Running the method across pairs. One trader can comfortably map four to six pairs a week. More than that and the mapping becomes rushed. Correlated pairs (EUR/USD and GBP/USD, for example) often reach their zones at the same time; treat two correlated trades as close to one larger trade for risk purposes.

When the market is trending hard. In strong trends, counter-trend rejection trades at minor zones fail more often, and break-and-retest trades in the trend's direction tend to work better. Your scorecard's confluence factor already rewards trend structure; you may also choose to trade only with the daily trend until your journal tells you otherwise.

Quiet weeks. Some weeks no planned zone is reached, or no trigger appears. That is not a problem to solve. A method that produces trades every day regardless of conditions is not a zone method.

Measuring yourself. After 30–50 trades, compare your planned R with achieved R, your results by zone score and by trigger type, and how many trades broke a rule. Most traders find that their worst results come from the trades that broke the rules, not from the method itself. That is the most valuable thing a journal can show you.

THE RULES

- Map weekly when calm; score every zone before price arrives.
- Trade only prime and working zones, only on a defined trigger, only with at least 1.5R to the next zone.
- Stop beyond the zone and trigger extreme plus a buffer; size from the stop at a fixed risk.
- Never widen a stop; never move a target to suit a hope.
- Journal every trade and judge it on process.

The strategy passport

- **Market:** major forex pairs and gold, on a daily map with 4-hour or 1-hour execution.

- **Wait for:** price to reach a pre-scored prime (6–8) or working (4–5) zone, or the first retest of a decisively broken zone.
- **Trigger:** a pin bar, engulfing candle or strong reclaim close, within definition, at the zone.
- **Stop:** beyond the far edge of the zone and the trigger's extreme, plus a buffer, clear of round numbers.
- **Target:** the near edge of the next opposing zone scoring 4 or more; minimum 1.5R.
- **Avoid:** zones scoring 0–3, triggers away from zones, weak reclaims, chasing breakouts with no retest, and entries just before high-impact news.

PRE-TRADE CHECKLIST

☐ The zone is on my weekly map, drawn wick to body, and scored before price arrived

☐ The zone scores 4 or more (or it is the first retest of a decisively broken zone that scored 4 or more)

☐ A trigger has closed within definition: pin bar, engulfing, or strong reclaim

☐ My stop is beyond the zone's far edge and the trigger's extreme, plus a buffer, and clear of any round number

☐ My target is the near edge of the next opposing zone scoring 4 or more

☐ Reward to target is at least 1.5 times the risk to stop

☐ Position size is set so the stop equals my fixed risk per trade

☐ No high-impact news is due before the trade has had time to work

☐ I can state scenario B — what I will do if the zone breaks instead

Summary

- The playbook runs in five stages: map, score, plan, trigger and execute, manage and review.
- Plans are written before price arrives, including a scenario B for a break.
- Worked trades 1 and 2 show the rejection and the retest done by the book; trade 3 shows a valid trade losing 1R.
- The passport and checklist are the whole method on one page. Use them every time.
- Judge yourself on process. Over enough trades, that is the only thing you control.

CHECK YOURSELF · ANSWERS AT THE BACK

1. What is the correct order of the playbook's stages?

   A. Trigger, map, score, plan, review

   B. Map, score, plan, trigger and execute, manage and review

   C. Score, trigger, map, review, plan

   D. Plan, trigger, map, score, review

2. Why does the plan include a 'scenario B'?

   A. To have an excuse after a loss

   B. To prepare for a decisive break, so a failed level becomes the next opportunity rather than a frustration

   C. Because every trade needs two entries

   D. To double the position size

3. In worked trade 2, why was the target 1.2572 rather than lower?

   A. Because 1.6R is the maximum allowed

   B. Because the map showed the next support beginning around 1.2570, and targets go to the near edge of the next zone

   C. Because the trader felt nervous

   D. Because the stop was too wide

4. Worked trade 3 lost 1R. What process error caused the loss?

   A. The stop was too tight

   B. The reclaim was weak

   C. There was no process error; it was a valid trade that lost

   D. The zone was not scored

5. Which item is NOT on the pre-trade checklist?

   A. Reward of at least 1.5R

   B. Stop beyond the zone and trigger extreme plus a buffer

   C. At least three confirming indicators

   D. No high-impact news due before the trade can work

6. After 40 trades, which journal finding is most useful?

   A. Your single biggest winner

   B. How your results differ between trades that followed the process and trades that broke a rule

   C. Which day of the week you felt most confident

D. How many pips you made in total

Strategy passport.

The whole setup on one page. Print it and keep it by your screen.

MARKET

Major forex pairs and gold, on a daily map with 4-hour or 1-hour execution.

WAIT FOR

Price to reach a pre-scored prime (6–8) or working (4–5) zone, or the first retest of a decisively broken zone.

TRIGGER

A pin bar, engulfing candle or strong reclaim close, within definition, at the zone.

STOP

Beyond the far edge of the zone and the trigger's extreme, plus a buffer, clear of round numbers.

TARGET

The near edge of the next opposing zone scoring 4 or more; minimum 1.5R.

AVOID

Zones scoring 0–3, triggers away from zones, weak reclaims, chasing breakouts with no retest, and entries just before high-impact news.

Quiz answers.

Lesson 1, Q1: B. The memory of a level is made of people: those who want to repeat a successful trade, those who missed it, and those trapped on the wrong side who want to exit. The other options are not mechanisms that exist.

Lesson 1, Q2: C. Many trapped traders hold and hope. When price returns to their entry they get out at breakeven, and closing a short is a buy order — adding to support.

Lesson 1, Q3: B. A fast departure means many traders who planned to trade there never got filled. A slow drift gives everyone time to finish their business.

Lesson 1, Q4: B. Shrinking bounces that return faster show defenders being used up. The count of touches alone is not the signal; the weakening character of the reactions is.

Lesson 1, Q5: C. Traders who buy at support usually place stops a little below it. That cluster of sell stops sits just beyond the level and can fuel both false breaks and genuine breakdowns.

Lesson 1, Q6: C. A level is a location, not a signal. Arrival tells you where to pay attention; the reaction you see there decides whether there is a trade.

Lesson 2, Q1: B. The far edge is the deepest probe (the lowest wick); the near edge is where price refused to settle lower (the lowest body). Fixed-pip offsets ignore what the candles actually did.

Lesson 2, Q2: B. Zones are judged on closes. A wick through and a close back inside is the level being defended, not broken. It is not meaningless either: it shows sellers being absorbed.

Lesson 2, Q3: B. Draw the zone from the evidence, then decide what is affordable. Shrinking the zone to suit the stop puts the stop inside the level's normal range.

Lesson 2, Q4: C. A lone panic wick makes the zone uselessly tall, but its extreme still matters: a stop placed inside that panic range is vulnerable.

Lesson 2, Q5: B. The candle wicked through the line but closed inside the zone. Touch-based reading calls that a break; close-based reading calls it a rejection.

Lesson 3, Q1: B. A clear approach and a clear departure make an obvious swing that the whole market can see. Pauses inside moves and zoom-only levels lack that visibility.

Lesson 3, Q2: B. A daily turn represents more volume and is seen by more traders, which makes it more likely to matter again. Lower timeframes are used to refine, not to discover.

Lesson 3, Q3: B. The refinement is a planning aid. The daily zone is the level. It has not failed until price closes clearly beyond it.

Lesson 3, Q4: B. When levels are everywhere, they stop being a filter. A clean chart forces you to wait for price to reach a meaningful location.

Lesson 3, Q5: B. Overlapping zones are the same level seen twice. Merge them so your map reflects one area of interest, not two.

Lesson 3, Q6: C. Levels drawn while wanting a trade tend to appear wherever they are needed. A calm, routine mapping session keeps the map honest.

Lesson 4, Q1: B. A fast, strong departure means many traders who wanted to trade there never got filled. Touch count tends to measure how much of the zone has been used up.

Lesson 4, Q2: C. Departure 2, freshness 2, timeframe 2, confluence 1 (one independent factor) = 7 out of 8.

Lesson 4, Q3: B. A round number attracts orders for reasons unrelated to the zone. The 4-hour version of the same zone is the same evidence seen twice.

Lesson 4, Q4: B. The minor 1-hour zone barely slowed the decline; the larger daily turn below held. Larger timeframes represent more participants.

Lesson 4, Q5: B. Background zones are useful for planning targets and spotting obstacles, but there is no good reason to risk money entering from them.

Lesson 4, Q6: B. Confluence found after you want the trade is advocacy, not analysis. Score zones before price arrives and before you have a stake in the answer.

Lesson 5, Q1: B. Trapped longs close at breakeven (selling), sellers who missed the break take their second chance, and those who sold the break add. All sell at the old support.

Lesson 5, Q2: B. A decisive close and travel away trap the zone's defenders in meaningful losses. That is the fuel for the flip.

Lesson 5, Q3: B. Flips, like breaks, are judged by closes. A strong close back on the original side says the break was not accepted.

Lesson 5, Q4: B. After breaking out to a new high, the pullback to the old ceiling formed a higher low — role reversal and trend structure in the same place.

Lesson 5, Q5: B. Each flip spends trapped orders. A level that keeps switching roles is often a place price gravitates to and chops around, not a clean reversal point.

Lesson 6, Q1: B. A genuine break is a decisive close, a strong body and follow-through. A wick is a probe; a one-pip close is unconfirmed.

Lesson 6, Q2: B. The breakout entry is usually far from the zone, forcing a large stop. The retest improves location. It does not guarantee success, and it does not always happen.

Lesson 6, Q3: C. Retests often probe deep into the zone. Only a close back below the whole zone says the break has failed, so the stop belongs beyond it.

Lesson 6, Q4: B. 26 / 42 is about 0.6R. Tightening the stop inside the zone or ignoring the opposing zone only hides the problem.

Lesson 6, Q5: B. Chasing puts the stop far away for an unclear target. Missing some moves is the cost of insisting on good locations.

Lesson 6, Q6: B. Successful retests usually leave the zone quickly. Hesitation is not an exit signal on its own, but it warns that the stop may be tested.

Lesson 7, Q1: B. The more obvious the level, the more traders place stops just beyond it. That pool of resting orders is what pushes into and through the zone tend to use.

Lesson 7, Q2: B. Genuine breaks close beyond and keep going. False breaks close beyond (or wick beyond) and are reclaimed strongly and quickly.

Lesson 7, Q3: B. The spike low is the line in the sand. If price returns below it, the push was not a stop run with buyers behind it.

Lesson 7, Q4: B. A small body barely back inside, with selling into it, shows buyers are not in control. Weak reclaims often fail.

Lesson 7, Q5: B. Good-looking setups with poor arithmetic are still poor trades. Tightening the stop inside the spike just makes it more likely to be hit.

Lesson 7, Q6: B. Intent is an interpretation. Price action is the evidence. Removing stops turns a controlled loss into an uncontrolled one.

Lesson 8, Q1: B. A pin bar needs a lower wick at least twice the body, a close in the upper third and a wick reaching into the zone.

Lesson 8, Q2: B. Engulfing means reversing the whole previous body and finishing with sellers in control, at the zone.

Lesson 8, Q3: B. Zone first, candle second. Without a level behind it, the pin has no meaning under this method and no sensible stop.

Lesson 8, Q4: C. Zone, trigger, stop and target were all valid. Some valid trades lose; changing rules after one loss destroys consistency.

Lesson 8, Q5: C. One step below the map. Same-timeframe triggers come late with wide stops; far lower timeframes produce frequent, meaningless triggers.

Lesson 8, Q6: B. Small wicks show some absorption, but no candle showed buyers winning by the close. Waiting was correct.

Lesson 9, Q1: B. The trade idea is wrong only when price moves beyond the whole zone and the trigger's extreme. A buffer handles noise and spread.

Lesson 9, Q2: B. A ratio means little if the stop is inside the range price normally explores. A smaller ratio with a correctly placed stop is the better trade.

Lesson 9, Q3: B. Price often reacts as soon as it reaches the next meaningful zone. Targeting the near edge respects where the opposing orders begin.

Lesson 9, Q4: B. £100 ÷ (40 × £8) = £100 ÷ £320 ≈ 0.31 lots.

Lesson 9, Q5: C. The stop and target come from the map. If they produce under 1.5R, the trade does not fit, however clean the trigger.

Lesson 9, Q6: A. Stops crowd just beyond round numbers, and those clusters attract overshoots. Push your stop clearly past the figure.

Lesson 10, Q1: B. Location comes first (map and score), then the written plan, then evidence (trigger), then management and review.

Lesson 10, Q2: B. Writing what you will do if the zone breaks stops you being married to one outcome and points you to the flip-and-retest setup.

Lesson 10, Q3: B. The target is the map's answer. Aiming beyond the next zone asks the market to push through opposing orders to reward you.

Lesson 10, Q4: C. Zone scored in advance, trigger within definition, stop where the idea failed, target from the map, 1.5R. Valid trades sometimes lose.

Lesson 10, Q5: C. This method uses zones, candle triggers and the map. Indicators are not part of the checklist.

Lesson 10, Q6: B. Comparing rule-following trades with rule-breaking ones shows whether your problem is the method or the execution — usually the latter.